PASSBOOK · CA INTERMEDIATE · GROUP II

## Paper 5

# Auditing and Ethics

**Revision Cards**

Every flashcard of every lesson, chapter by chapter: the question, then its answer. Cover the answer, say it, then check.

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CHAPTER 1

# Nature, Objective and Scope of Audit

## 1.1 What an audit is, why it is needed and its objective

**1** **Define audit, as in the Study Material.**

**A** An audit is an independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, when such an examination is conducted with a view to expressing an opinion thereon.

**2** **What does "independence" mean in the definition of audit?**

**A** The judgment of the auditor is not subordinate to the wishes or direction of another person who might have engaged him, so that he forms an opinion without being affected by any influence.

**3** **Can a CA audit his brother's proprietary concern, or a company whose shares he holds?**

**A** Neither. The relationship by birth subjects him to influence; holding shares involves his self-interest. Both destroy independence.

**4** **Whose responsibility is the preparation and presentation of financial statements?**

**A** The management of the entity. The auditor expresses an opinion on them by means of a written audit report.

**5** **SA 200: what are the overall objectives of the auditor?**

**A** (a) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, enabling an opinion on whether they are prepared, in all material respects, in accordance with an applicable financial reporting framework; (b) to report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

**6** **The seven benefits of audit, in ICAI's order?**

**A** High quality information; safeguarding shareholders' interest; moral check on employees; helps government determine tax liabilities; lenders' credit decisions; detection of fraud or error; review of controls, pointing out deficiencies.

**7** **Is an audit always legally mandatory?**

**A** No. Companies must be audited under law; non-corporate entities may need an audit under tax laws (turnover above a threshold) or for government grants (schools); many entities are audited voluntarily.

**8** **Who appoints the auditor of a company, a government company and a partnership firm?**

**A** Company: members (shareholders) in the AGM. Government company in India: the Comptroller and Auditor General of India. Firm: its partners.

**9** **To whom does the auditor submit the audit report?**

**A** To the person making the appointment: the shareholders of a company, the partners of a firm.

**10** **Where does the word "audit" come from?**

**A** From the Latin "audire", to hear: in medieval times auditors heard the accounts read out to them.

**11** **Which ancient Indian work refers to auditing?**

**A** Kautilya's Arthashastra (4th century BC): a fixed accounting year, closing of accounts and their audit, and misstatements due to abuse of power.

## 1.2 SA 200: overall objectives, reasonable assurance and professional judgment

**12** **SA 200: what is its full title?**

**A** Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing.

**13** **SA 200: what are the overall objectives of the auditor?**

**A** (a) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling an opinion on whether they are prepared, in all material respects, in accordance with an applicable financial reporting framework; (b) to report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

**14** **Distinguish reasonable assurance from absolute assurance.**

**A** Absolute assurance is a complete assurance or guarantee that the financial statements are free from material misstatement. Reasonable assurance is a high level of assurance but not a complete guarantee.

**15** **Why can an auditor not obtain absolute assurance?**

**A** The auditor is not expected to, and cannot, reduce audit risk to zero, because the inherent limitations of an audit make most audit evidence persuasive rather than conclusive.

**16** **When is reasonable assurance obtained?**

**A** When the auditor has obtained sufficient appropriate audit evidence to reduce audit risk (the risk of an inappropriate opinion on materially misstated statements) to an acceptably low level.

**17** **What is the purpose of an audit according to SA 200?**

**A** To enhance the degree of confidence of intended users in the financial statements, by expressing an opinion on whether they are prepared, in all material respects, in accordance with an applicable financial reporting framework.

**18** **Define "applicable financial reporting framework".**

**A** A framework adopted in preparing and presenting the financial statements that is acceptable in view of the nature of the entity and the objective of the statements, or that is required by law or regulation (for Indian companies, Schedule III of the Companies Act, 2013).

**19** **SA 200: what is the premise on which an audit is conducted?**

**A** Management and, where appropriate, those charged with governance accept responsibility for preparing the financial statements and for such internal control as management determines necessary to prepare them free from material misstatement, whether due to fraud or error.

**20** **What is the distinguishing feature of the professional judgment expected of an auditor?**

**A** It is exercised by an auditor whose training, knowledge and experience have assisted in developing the necessary competencies to achieve reasonable judgments.

**21** **Which matters does SA 200 discuss as relevant when the auditor judges whether sufficient appropriate evidence has been obtained?**

**A** The nature of audit procedures, the timeliness of financial reporting, and the balance between benefit and cost.

**22** **Define professional skepticism.**

**A** An attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence.

**23** **Does a belief that management is honest relieve the auditor of professional skepticism?**

**A** No. Past experience need not be disregarded, but a belief in the honesty and integrity of management and those charged with governance does not relieve the auditor of the need to maintain professional skepticism.

## 1.3 Inherent limitations of an audit

**24** **What are the inherent limitations of an audit?**

**A** Inbuilt limitations of the audit process due to which an auditor cannot obtain absolute assurance that the financial statements are free from misstatement due to fraud or error.

**25** **SA 200: can the auditor reduce audit risk to zero?**

**A** No. The auditor is not expected to, and cannot, reduce audit risk to zero, because of the inherent limitations of an audit; most audit evidence is persuasive rather than conclusive.

**26** **The five factors giving rise to the inherent limitations of an audit, in ICAI's order?**

**A** Nature of financial reporting; nature of audit procedures; not in the nature of investigation; timeliness of financial reporting and decrease in relevance of information over time; future events.

**27** **Give one example each of a practical and a legal limitation on the auditor's ability to obtain evidence.**

**A** Practical: the auditor does not test all transactions and balances, but forms his opinion by testing samples. Legal: the auditor cannot force management to provide complete information; if it is not provided, he can only report.

**28** **How is the nature of financial reporting an inherent limitation?**

**A** Preparation of financial statements involves management's judgments, which may be subjective or uncertain; and the internal controls management devises may not operate because of their own limitations, such as collusion.

**29** **Why can fabricated documents defeat an audit?**

**A** Management may produce fabricated documents within sophisticated, carefully organised schemes, and the auditor is not an expert in authentication of documents, so he may accept invalid evidence.

**30** **Why is "not in the nature of investigation" an inherent limitation?**

**A** An audit is not an official investigation into alleged wrongdoing; the auditor has no legal powers of search or of recording statements of witnesses on oath.

**31** **What does SA 200 say about timeliness as a limitation?**

**A** The relevance of information, and thereby its value, tends to diminish over time, and there is a balance to be struck between the reliability of information and its cost.

**32** **Is difficulty, time or cost a valid reason to omit an audit procedure?**

**A** Not in itself. As explained in SA 200, it is not a valid basis to omit a procedure for which there is no alternative, or to be satisfied with audit evidence that is less than persuasive.

**33** **Engagement letter: what unavoidable risk do the inherent limitations create?**

**A** Because of the inherent limitations of an audit, together with those of internal control, some material misstatements may not be detected even though the audit is properly planned and performed in accordance with SAs.

## 1.4 Scope of audit, engagement types and qualities of an auditor

**34** **What does the scope of audit of financial statements include?**

**A** Coverage of all aspects of the entity relevant to the financial statements; reliability and sufficiency of financial information; proper disclosure of financial information; expression of an opinion on the financial statements.

**35** **What does the scope of audit not include?**

**A** Responsibility for preparation and presentation of the financial statements; duties outside the auditor's competence; expertise in authentication of documents; investigation.

**36** **Scope of audit: how does the auditor judge reliability and sufficiency of financial information?**

**A** By a study and assessment of accounting systems and internal controls and by carrying out appropriate tests, enquiries and procedures.

**37** **Scope of audit: what is the auditor's role in respect of accounting policies?**

**A** Choosing them is management's responsibility; the auditor evaluates their selection and consistent application, period to period.

**38** **Define investigation (ICAI).**

**A** A critical examination of the accounts with a special purpose, for example checking whether a suspected fraud really exists.

**39** **Audit versus investigation: scope?**

**A** The scope of audit is general and broad whereas the scope of investigation is specific and narrow.

**40** **Why is an audit not an official investigation?**

**A** The auditor has no specific legal powers of search or of recording statements of witnesses on oath, which may be necessary for an official investigation.

**41** **Define historical financial information.**

**A** Information expressed in financial terms in relation to a particular entity, derived primarily from its accounting system, about economic events in past periods or economic conditions or circumstances at points in time in the past.

**42** **What is an engagement, in the context of auditing?**

**A** A formal agreement between auditor and client under which the auditor agrees to provide auditing services; it takes the shape of an engagement letter.

**43** **External audit engagements: purpose and type?**

**A** To enhance the degree of confidence of intended users of financial statements; they are reasonable assurance engagements.

**44** **List the qualities of an auditor in ICAI's order.**

**A** Tact, caution, firmness, good temper, integrity, discretion, industry, judgment, patience, clear headedness and reliability.

**45** **What is the sine qua non of the practice of auditing?**

**A** An exhaustive knowledge of accounting in all its branches.

## 1.5 Auditing and its relationship with other disciplines

**46** **Name the subjects from which auditing draws, per the Study Material.**

**A** Accountancy, law, behavioural science, statistics, economics and financial management; the chart also shows data processing and production.

**47** **Auditing and Accounting: ICAI's link?**

**A** Auditing reviews the financial statements, which are nothing but a result of the overall accounting process; sound knowledge of accounting principles is a fundamental requirement.

**48** **Auditing and Law: ICAI's link?**

**A** An auditor should have a good knowledge of business laws affecting the entity; business and taxation laws help him understand the financial statements in accordance with applicable laws.

**49** **Auditing and Economics: ICAI's link?**

**A** The auditor is expected to be familiar with the overall economic environment of the client.

**50** **Auditing and Behavioural Science: ICAI's link?**

**A** Knowledge of human behaviour is essential for an auditor to effectively discharge his duties, as he interacts with many persons, seeking information and making inquiries.

**51** **Auditing and Statistics & Mathematics: ICAI's link?**

**A** Knowledge of statistical sampling for meaningful conclusions, and mathematics for verification of inventories.

**52** **Auditing and Data Processing: ICAI's link?**

**A** EDP auditing is developing as a discipline in itself.

**53** **Auditing and Financial Management: which techniques?**

**A** Working capital management, funds flow, ratio analysis and capital budgeting; also knowledge of financial markets.

**54** **Auditing and Production: ICAI's link?**

**A** A good auditor understands the client and his business functions such as production, cost system and marketing.

## 1.6 Assurance engagements and the engagement and quality control standards

**55** **Define "assurance engagement".**

**A** An engagement in which a practitioner expresses a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria.

**56** **List the five elements of an assurance engagement in ICAI's order.**

**A** A three party relationship; an appropriate subject matter; suitable criteria; sufficient appropriate evidence; a written assurance report in appropriate form.

**57** **Assurance engagement: who are the three parties?**

**A** The practitioner (provides the assurance), the responsible party (responsible for preparing the subject matter) and the intended users (for whom the report is prepared).

**58** **Reasonable versus limited assurance engagement: four points?**

**A** High versus lower level of assurance; elaborate and extensive versus fewer procedures; reasonable versus limited conclusions, both on sufficient appropriate evidence; audit versus review.

**59** **Define prospective financial information.**

**A** Financial information based on assumptions about events that may occur in the future and possible actions by an entity: a forecast, a projection or both.

**60** **Prospective financial information: on what does the practitioner obtain evidence?**

**A** That management's assumptions are not unreasonable, the information is properly prepared on their basis, it is properly presented, and all material assumptions are adequately disclosed.

**61** **Prospective financial information: what does the report say, and what level of assurance?**

**A** That nothing has come to the practitioner's attention to suggest the assumptions do not provide a reasonable basis for the projection; moderate assurance.

**62** **Name the four Engagement Standards and where each applies.**

**A** SAs: audit of historical financial information. SREs: review of historical financial information. SAEs: assurance engagements other than audit and review of HFI. SRSs: agreed-upon procedures, compilation and other related services.

**63** **Purpose of the Engagement Standards?**

**A** To establish high quality standards and guidance in the areas of financial statement audits and in other types of assurance services.

**64** **To which services does SQC 1 apply?**

**A** To all services covered by Engagement Standards: audits and reviews of historical financial information, and other assurance and related services engagements.

**65** **Give the Study Material's example Standards for SREs, SAEs and SRSs.**

**A** SRE 2400 (Revised), SRE 2410; SAE 3400, SAE 3420; SRS 4400, SRS 4410 (Revised).

**66** **A required procedure would be ineffective: what must the auditor do?**

**A** Document how the alternative procedures achieve its purpose and the reason for the departure unless clear; the report draws attention to the departure; a mere disclosure does not absolve him from complying.

CHAPTER 2

# Audit Strategy, Audit Planning and Audit Programme

## 2.1 SA 300: planning, overall audit strategy and audit plan

**1** **SA 300: what is the objective of the auditor?**

**A** To plan the audit so that it will be performed in an effective manner.

**2** **SA 300: list the benefits of adequate planning.**

**A** Appropriate attention to important areas; identifying and resolving potential problems on time; organising and managing the engagement effectively and efficiently; selecting team members with appropriate capabilities and assigning work; direction, supervision and review; coordinating work done by others such as experts.

**3** **SA 300: which matters does planning consider before the risks of material misstatement are identified and assessed?**

**A** Analytical procedures as risk assessment procedures; a general understanding of the legal and regulatory framework and compliance with it; determination of materiality; involvement of experts; other risk assessment procedures.

**4** **SA 300: what are the preliminary engagement activities?**

**A** Performing procedures regarding the continuance of the client relationship; evaluating compliance with ethical requirements, including independence; establishing an understanding of the terms of engagement.

**5** **SA 300: what does the overall audit strategy set?**

**A** The scope, timing and direction of the audit; it guides the development of the audit plan.

**6** **SA 300: which four resource matters does establishing the overall audit strategy help determine?**

**A** The resources to deploy for specific areas; the amount of resources to allocate; when they are deployed; how they are managed, directed and supervised.

**7** **SA 300: which five factors are considered in establishing the overall audit strategy?**

**A** Characteristics defining the scope; reporting objectives; factors significant in directing the team's efforts; results of preliminary engagement activities and knowledge from other engagements; nature, timing and extent of resources needed.

**8** **SA 300: what shall the audit plan describe?**

**A** The nature, timing and extent of planned risk assessment procedures; of planned further audit procedures at the assertion level; and other planned audit procedures required so that the engagement complies with SAs.

**9** **SA 300: on what does the direction, supervision and review of the team depend?**

**A** The size and complexity of the entity; the area of the audit; the assessed risks of material misstatement; the capabilities and competence of the individual team members.

**10** **SA 300: what must the auditor document?**

**A** The overall audit strategy; the audit plan; any significant changes made during the engagement to either, and the reasons for them.

**11** **SA 300: in forming a conclusion on independence, what shall the engagement partner do?**

**A** Obtain information from the firm to identify threats; evaluate identified breaches of the firm's independence policies; eliminate threats or reduce them by safeguards, or withdraw where law permits, reporting any unresolved matter to the firm promptly.

**12** **SA 300: may the auditor discuss the audit plan with management?**

**A** The auditor may discuss elements of planning to facilitate the audit, with care not to compromise its effectiveness; the strategy and plan remain the auditor's responsibility.

## 2.2 The audit programme

**13** **What is an audit programme, in ICAI's "in other words" definition?**

**A** A detailed plan of applying the audit procedures in the given circumstances with instructions for the appropriate techniques to be adopted for accomplishing the audit objectives.

**14** **Why is one audit programme for all businesses not practicable?**

**A** Businesses vary in nature, size and composition; work suited to one may not suit another; the efficiency and operation of internal controls and the nature of the service vary from assignment to assignment.

**15** **Audit programme: what happens if it is not periodically reviewed?**

**A** Changes in the client's business policy may go unnoticed, work proceeds on an obsolete programme, and the whole audit may be held as negligently conducted, with legal consequences for the auditor.

**16** **List the seven points for constructing an audit programme.**

**A** Stay within scope and limitation; prepare a written programme; determine the evidence available and the best evidence; apply only useful steps; include objectives and instructions for each area; consider all possibilities of error; co-ordinate procedures for related items.

**17** **When may the auditor have no discretion as to the timing of a procedure?**

**A** For example, when observing the taking of inventories by client personnel, or verifying securities and cash balances at the year-end.

**18** **Audit programme: give ICAI's best evidence for cash in hand and for an investment pledged with a bank.**

**A** Cash in hand: count. Investment pledged with a bank: the banker's certificate.

**19** **List the advantages of an audit programme.**

**A** Clear instructions; total perspective for major audits; easier selection of assistants; no reliance on a mental plan; responsibility fixed by signature; principal controls progress; guide for the next year; evidence against a charge of negligence.

**20** **List the disadvantages of an audit programme and how they are removed.**

**A** Mechanical work; rigidity; inefficient assistants take shelter; kills initiative. Removed by imaginative supervision, a receptive attitude towards assistants, and encouraging assistants to observe objectively and report significant matters.

**21** **What are the columns of ICAI's sample audit programme?**

**A** Serial number, nature of procedure, extent of check, basis of sample, done by; under a header of name of concern, financial year, prepared by, reviewed by and approved by (each with date).

**22** **Should an assistant follow the audit programme even if he thinks a step is unnecessary?**

**A** Yes, so long as the programme is not officially changed by the principal; he should report his view and any significant matters to his seniors.

**23** **Audit programme: list the broad types of evidence an auditor picks up.**

**A** Documentary examination; physical examination; statements and explanations of management, officials and employees; statements and explanations of third parties; arithmetical calculations by the auditor; state of internal controls and internal checks; inter-relationship of accounting data; subsidiary and memorandum records; minutes; subsequent action by the client and by others.

CHAPTER 3

# Risk Assessment and Internal Control

## 3.1 Audit risk: inherent, control and detection risk

**1** **What is audit risk?**

**A** The risk that the auditor gives an inappropriate audit opinion when the financial statements are materially misstated. It is a function of the risks of material misstatement and detection risk.

**2** **SA 200: what is the risk of material misstatement?**

**A** The risk that the financial statements are materially misstated prior to audit.

**3** **At which two levels may the risk of material misstatement exist?**

**A** The overall financial statement level, and the assertion level for classes of transactions, account balances and disclosures.

**4** **SA 200: define inherent risk.**

**A** The susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, individually or in aggregate, before consideration of any related controls.

**5** **SA 200: define control risk.**

**A** The risk that a misstatement that could occur in an assertion and could be material, individually or in aggregate, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control.

**6** **SA 200: define detection risk.**

**A** The risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, individually or in aggregate.

**7** **What are the two parts of detection risk?**

**A** Sampling risk (the sample's conclusion differs from what testing the whole population would show) and non-sampling risk (an erroneous conclusion for any other reason, such as an inappropriate procedure).

**8** **Which component of audit risk can the auditor influence, and how is it reduced?**

**A** Only detection risk: by increasing the area of checking, testing larger samples and including competent and experienced persons in the engagement team.

**9** **Which two matters are not included in audit risk?**

**A** The auditor's business risks (litigation, adverse publicity), and the risk of expressing an opinion that the financial statements are materially misstated when they are not.

**10** **What is the relation between control risk and the efficiency of internal control?**

**A** Inverse: the more efficient the internal control, the lower the control risk.

**11** **Audit risk as a formula, per the Study Material?**

**A** Audit risk = risks of material misstatement × detection risk = inherent risk × control risk × detection risk.

## 3.2 SA 320: materiality

## and performance materiality

**12** **SA 320: when are misstatements material?**

**A** When, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

**13** **SA 320: define performance materiality.**

**A** The amount(s) set by the auditor at less than materiality for the financial statements as a whole, to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds that materiality (and, if applicable, set below the levels for particular classes, balances or disclosures).

**14** **SA 320: four factors affecting the identification of an appropriate benchmark?**

**A** The elements of the financial statements; items on which users' attention tends to be focused; the nature of the entity, its life cycle, industry, economic environment, ownership and financing; and the relative volatility of the benchmark.

**15** **SA 320: examples of benchmarks?**

**A** Profit before tax, total revenue, gross profit, total expenses, total equity or net asset value. Profit before tax from continuing operations is often used for profit-oriented entities.

**16** **SA 320: the Study Material's example percentages?**

**A** 5% of profit before tax from continuing operations for a profit-oriented manufacturer; 1% of total revenue or total expenses for a not-for-profit entity.

**17** **SA 320: what four things must the audit documentation include?**

**A** Materiality for the financial statements as a whole; materiality levels for particular classes, balances or disclosures, if applicable; performance materiality; and any revision of these, each with the factors considered.

**18** **SA 320: what four assumptions may the auditor make about users?**

**A** They have reasonable knowledge of business, economics and accounting and will study the statements diligently; understand that statements are prepared and audited to levels of materiality; recognise uncertainties in estimates; and make reasonable economic decisions on the information.

**19** **SA 320: three factors indicating a lower materiality level for particular items?**

**A** Law, regulation or the framework affecting users' expectations (related party transactions, remuneration of management and TCWG); key industry disclosures (R&D costs for a pharmaceutical company); attention on a separately disclosed aspect (a newly acquired business).

**20** **SA 320: when is materiality revised?**

**A** On a change in circumstances during the audit (such as a decision to dispose of a major part of the business), new information, or a change in the auditor's understanding; and when actual results are likely to differ substantially from those used initially.

**21** **What is the relationship between materiality and audit risk?**

**A** Inverse: the higher the materiality level, the lower the audit risk, and vice versa.

**22** **Is an item that law requires to be disclosed material if its amount is small?**

**A** Yes. A statutory disclosure requirement makes the item material irrespective of its amount.

## 3.3 SA 315: risk assessment procedures and understanding the entity

**23** **SA 315: what is the objective of the auditor?**

**A** To identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels, through understanding the entity and its environment, including internal control, providing a basis for designing and implementing responses.

**24** **SA 315: what three procedures shall risk assessment procedures include?**

**A** Inquiries of management and others within the entity; analytical procedures; observation and inspection.

**25** **Do risk assessment procedures provide sufficient appropriate audit evidence for the opinion?**

**A** No. They are the basis for identifying and assessing risks, but by themselves do not provide sufficient appropriate audit evidence on which to base the opinion.

**26** **SA 315: four things the auditor shall do to identify and assess risks?**

**A** Identify risks while understanding the entity; assess them and evaluate whether they are pervasive; relate them to what can go wrong at the assertion level; consider the likelihood and magnitude of misstatement.

**27** **SA 315: five areas of the entity the auditor shall understand?**

**A** Industry, regulatory and other external factors (incl. the framework); the nature of the entity; its accounting policies; its objectives, strategies and related business risks; the measurement and review of its financial performance.

**28** **What can inquiries of in-house legal counsel reveal?**

**A** Litigation, compliance with laws and regulations, known or suspected fraud, warranties, post-sales obligations, arrangements with business partners, and the meaning of contracts.

**29** **SA 315: six factors for judging whether a risk is significant?**

**A** Risk of fraud; recent significant developments; complexity of transactions; significant related party transactions; subjectivity and measurement uncertainty; significant transactions outside the normal course or unusual.

**30** **Which risks are always significant risks?**

**A** Risks of material misstatement due to fraud, and significant related party transactions outside the normal course of business.

**31** **Why are risks greater for significant non-routine transactions?**

**A** Greater management intervention in the accounting treatment; greater manual intervention in data collection and processing; complex calculations or principles; and their nature makes effective controls difficult.

**32** **SA 315: what shall the auditor document?**

**A** The engagement team discussion and significant decisions; key elements of the understanding, its sources and the risk assessment procedures; the assessed risks at both levels; the risks identified and related controls understood.

**33** **Is understanding the entity a one-time planning task?**

**A** No. It is a continuous, dynamic process of gathering, updating and analysing information throughout the audit.

## 3.4 Internal control: components, limitations and evaluation

**34** **SA 315: define internal control.**

**A** The process designed, implemented and maintained by those charged with governance, management and other personnel to provide reasonable assurance about the achievement of an entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations, safeguarding of assets, and compliance with applicable laws and regulations.

**35** **Name the five components of internal control, in ICAI's order.**

**A** (A) Control environment; (B) the entity's risk assessment process; (C) the information system, including related business processes, relevant to financial reporting, and communication; (D) control activities; (E) monitoring of controls.

**36** **Control environment: what two things shall the auditor evaluate?**

**A** Whether (i) management has created and maintained a culture of honesty and ethical behaviour; and (ii) the strengths in the control environment elements collectively provide an appropriate foundation for the other components of internal control.

**37** **List the seven elements of the control environment.**

**A** Communication and enforcement of integrity and ethical values; commitment to competence; participation by those charged with governance; management's philosophy and operating style; organisational structure; assignment of authority and responsibility; human resource policies and practices.

**38** **Entity's risk assessment process: what process does the auditor look for?**

**A** A process for identifying business risks relevant to financial reporting objectives, estimating their significance, assessing the likelihood of their occurrence, and deciding about actions to address them.

**39** **Which control activities are generally relevant to the audit?**

**A** Policies and procedures relating to performance reviews, information processing, physical controls and segregation of duties.

**40** **State the six inherent limitations of internal control.**

**A** Only reasonable assurance; faulty human judgment and human error; lack of understanding of a control's purpose; collusion among people or management override; management's judgments on the nature and extent of controls and risks; limited segregation of duties in small entities.

**41** **Is a satisfactory control environment an absolute deterrent to fraud?**

**A** No. It may help reduce the risk of fraud and is a positive factor in assessing risks, but it is not an absolute deterrent, and by itself it does not prevent, or detect and correct, a material misstatement.

**42** **Name the four methods of recording and evaluating internal control.**

**A** Narrative record, check list, internal control questionnaire and flow chart.

**43** **State the three disadvantages of a narrative record.**

**A** It is difficult to comprehend the system in operation, to identify weaknesses or gaps in the system, and to incorporate changes arising from reshuffling of manpower.

**44** **Internal control questionnaire: what do "Yes" and "No" answers indicate?**

**A** Questions are framed so that "Yes" denotes a satisfactory position and "No" suggests a weakness; explanations are given for "No" answers and "Not Applicable" for irrelevant questions.

**45** **Which method gives a bird's eye view of the system and is the most concise way of recording the review?**

**A** The flow chart.

## 3.5 Testing internal control: walkthroughs, tests of controls and reporting

**46** **Why are tests of controls performed?**

**A** To obtain audit evidence about the effectiveness of (i) the design of the accounting and internal control system and (ii) the operation of internal control throughout the period.

**47** **Name the procedures that tests of control may include.**

**A** Inspection of documents supporting transactions (e.g. authorisation); inquiries about, and observation of, controls that leave no audit trail; re-performance (e.g. bank reconciliation); testing controls over computerised applications or the IT function (access, program change).

**48** **Define re-performance, with the Study Material's example.**

**A** The auditor's independent execution of procedures or controls originally performed as part of the entity's internal control, for example reconciliation of bank accounts, to ensure they were correctly performed.

**49** **Which audit test is most efficient, and which gives the best evidence?**

**A** Inquiry is the most efficient but gives the least evidence; reperformance is the most effective and gives the best evidence but is time consuming. Inquiry combined with inspection generally gives the most effective and efficient evidence.

**50** **What is a walkthrough in an automated environment?**

**A** Obtaining an understanding of how an automated transaction is processed by following one end-to-end transaction, using a combination of inquiry, observation and inspection.

**51** **What can cause deviations from prescribed controls?**

**A** Changes in key personnel, significant seasonal fluctuations in the volume of transactions, and human error.

**52** **Deviations make the preliminary control risk assessment unsupported. What follows?**

**A** The auditor revises the assessed control risk (unless other tests of control support it) and modifies the nature, timing and extent of planned substantive procedures.

**53** **Define a deficiency in internal control.**

**A** A control designed, implemented or operated so that it is unable to prevent, or detect and correct, misstatements on a timely basis; or a necessary control that is missing.

**54** **How are IT audit findings reported?**

**A** Deficiencies to management in an internal controls memo or management letter; significant deficiencies in writing to those charged with governance.

**55** **Can understanding a control ever serve as a test of its operating effectiveness?**

**A** For an automated control, yes: because of the inherent consistency of IT processing, determining that it is implemented may serve as a test of operating effectiveness, depending on the testing of controls such as program change controls.

## 3.6 Internal control in an IT environment

**56** **What is an automated environment?**

**A** A business environment where the processes, operations, accounting and even decisions are carried out using computer systems (Information Systems or IT systems).

**57** **Does more automation make the business environment simpler or more complex?**

**A** More complex: the complexity depends on the level of automation. An integrated ERP is more complex to audit than off-the-shelf accounting software.

**58** **Name the three types of control in an automated environment.**

**A** General IT controls, application controls and IT-dependent controls.

**59** **Define general IT controls and name their four areas.**

**A** Policies and procedures that relate to many applications and support the effective functioning of application controls. Areas: data centre and network operations; program change; access security; application system acquisition, development and maintenance.

**60** **Why are general IT controls called "pervasive" or "indirect" controls?**

**A** Because they mitigate IT-specific risks and are applied commonly across multiple IT systems, applications and business processes.

**61** **Objective of access security controls?**

**A** To ensure that access to programs and data is authenticated and authorised to meet financial reporting objectives.

**62** **Give the Study Material's examples of automated application controls.**

**A** Edit checks and validation of input data, sequence number checks, user limit checks, reasonableness checks and mandatory data fields.

**63** **What are IT-dependent controls, and what do they depend on?**

**A** Manual controls that use data, information or reports produced by IT systems; their effectiveness depends on the reliability of the source data, and so on effective general IT controls.

**64** **How can unmitigated IT risks affect the audit?**

**A** Increased substantive checking (data tested for completeness and accuracy), no reliance on automated controls (additional work), and possible modification of the auditor's report given the internal financial controls requirements.

**65** **When may manual elements of internal control be more suitable?**

**A** Where judgment and discretion are required: large, unusual or non-recurring transactions; errors difficult to define, anticipate or predict; changing circumstances outside an existing automated control; monitoring the effectiveness of automated controls.

**66** **General IT controls are ineffective. What should the auditor do?**

**A** Assess the impact of IT risks and the complexity of the automated environment, and plan alternative audit procedures in order to rely on system-based information.

## 3.7 Digital audit and data analytics

**67** **Define data analytics as in the Study Material.**

**A** The combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information.

**68** **What are CAATs?**

**A** Computer Assisted Auditing Techniques: the tools and techniques that auditors use in applying the principles of data analytics.

**69** **Which tools does the Study Material name for testing electronic records with data analytics?**

**A** Spreadsheets and specialised audit tools viz. IDEA and ACL.

**70** **List the seven uses of data analytics in an audit, in ICAI's order.**

**A** Check completeness of data and population; selection of audit samples; re-computation of balances; reperformance of mathematical calculations; analysis of journal entries; fraud investigation; evaluating impact of control deficiencies.

**71** **Data analytics: give the Study Material's example of re-computation of balances.**

**A** Reconstruction of the trial balance from transaction data.

**72** **Data analytics: give the Study Material's examples of reperformance of mathematical calculations.**

**A** Depreciation and bank interest calculation.

**73** **Data analytics: which two sampling methods does the Study Material mention for selecting audit samples?**

**A** Random sampling and systematic sampling.

**74** **Digital audit: when, and with what, do auditors use digital technology?**

**A** Right from planning to the expression of the final opinion, using artificial intelligence, data analytics and other latest technologies.

**75** **Digital audit: what does it help auditors do?**

**A** Understand business processes better, conduct the audit better, devote more attention to areas requiring greater focus, and better identify risks.

## 3.8 SA 330: the auditor's responses to assessed risks

**76** **SA 330: what is the objective of the auditor?**

**A** To obtain sufficient appropriate audit evidence about the assessed risks of material misstatement, through designing and implementing appropriate responses to those risks.

**77** **SA 330: how does the auditor respond to risks at the financial statement level and at the assertion level?**

**A** Financial statement level: design and implement overall responses. Assertion level: design and perform further audit procedures whose nature, timing and extent are based on and responsive to the assessed risks.

**78** **SA 330: in which two circumstances shall the auditor perform tests of controls?**

**A** (a) When the risk assessment includes an expectation that controls operate effectively (the auditor intends to rely on them); or (b) when substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level.

**79** **SA 330: what is the effect of greater reliance on a control?**

**A** The auditor shall obtain more persuasive audit evidence the greater the reliance placed on the effectiveness of the control.

**80** **When may a higher level of assurance about operating effectiveness be sought?**

**A** When the approach consists primarily of tests of controls, in particular where it is not possible or practicable to obtain sufficient appropriate audit evidence only from substantive procedures.

**81** **SA 330: matters in determining the extent of tests of controls?**

**A** Frequency of performance of the control; length of time of reliance; expected rate of deviation; relevance and reliability of the evidence; extent of evidence from tests of other related controls.

**82** **SA 330: what shall the auditor determine when deviations are detected?**

**A** Whether the tests performed give an appropriate basis for reliance; whether additional tests of controls are necessary; or whether the risks need to be addressed by substantive procedures.

**83** **Does the absence of misstatements found by substantive procedures prove that controls are effective?**

**A** No. It does not provide audit evidence that the related controls are effective.

**84** **SA 330: why are substantive procedures required for each material item irrespective of the assessed risk?**

**A** Because the risk assessment is judgmental and may not identify all risks of material misstatement, and internal control has inherent limitations, including management override.

**85** **What do substantive procedures comprise?**

**A** Tests of details (tests of transactions, i.e. vouching; tests of balances, i.e. verification) and substantive analytical procedures.

**86** **Substantive analytical procedures are generally more applicable to what kind of transactions?**

**A** Large volumes of transactions that tend to be predictable over time.

CHAPTER 4

# Audit Evidence

## 4.1 SA 500: sufficient appropriate audit evidence

**1** **SA 500: define audit evidence.**

**A** The information used by the auditor in arriving at the conclusions on which the auditor's opinion is based; it includes both information contained in the accounting records underlying the financial statements and other information.

**2** **SA 500: what is the objective of the auditor?**

**A** To design and perform audit procedures in such a way as to enable the auditor to obtain sufficient appropriate audit evidence to draw reasonable conclusions on which to base the auditor's opinion.

**3** **SA 500: sufficiency and appropriateness measure what?**

**A** Sufficiency is the measure of the quantity of audit evidence; appropriateness is the measure of its quality, that is, its relevance and its reliability.

**4** **Which three factors affect the auditor's judgment as to sufficiency of audit evidence?**

**A** Materiality; risk of material misstatement (inherent and control risk); size and characteristics of the population.

**5** **SA 500: what influences the reliability of audit evidence?**

**A** Its source and its nature, and the circumstances under which it is obtained, including the controls over its preparation and maintenance where relevant.

**6** **State the five generalisations about the reliability of audit evidence.**

**A** More reliable when (1) from independent sources outside the entity; (2) internally generated with effective related controls; (3) obtained directly by the auditor rather than indirectly or by inference; (4) documentary rather than oral; (5) original documents rather than photocopies, facsimiles or digitised copies.

**7** **SA 500: can the absence of information be audit evidence?**

**A** Yes. In some cases the absence of information, for example management's refusal to provide a requested representation, is used by the auditor and therefore constitutes audit evidence.

**8** **SA 500: three requirements when evidence is prepared using the work of a management's expert?**

**A** Evaluate the expert's competence, capabilities and objectivity; obtain an understanding of the expert's work; evaluate the appropriateness of the work as audit evidence for the relevant assertion.

**9** **Define management's expert.**

**A** An individual or organisation possessing expertise in a field other than accounting or auditing, whose work in that field is used by the entity to assist it in preparing the financial statements.

**10** **SA 500: three means of selecting items for testing?**

**A** Selecting all items (100% examination); selecting specific items; audit sampling.

**11** **SA 500: what must the auditor do if evidence from two sources is inconsistent?**

**A** Determine what modifications or additions to audit procedures are necessary to resolve the matter, and consider the effect of the matter, if any, on other aspects of the audit.

**12** **Is a purchase invoice internal or external evidence?**

**A** External: it originates outside the client's organisation.

## 4.2 Financial statement assertions and audit procedures

**13** **Define assertions.**

**A** Representations by management, explicit or otherwise, that are embodied in the financial statements, as used by the auditor to consider the different types of potential misstatements that may occur.

**14** **Assertions about classes of transactions and events for the period?**

**A** Occurrence, completeness, accuracy, cut-off and classification.

**15** **Assertions about account balances at the period end?**

**A** Existence, rights and obligations, completeness, and valuation and allocation.

**16** **Assertions about presentation and disclosure?**

**A** Occurrence and rights and obligations; completeness; classification and understandability; accuracy and valuation.

**17** **Occurrence assertion: meaning?**

**A** Transactions and events that have been recorded have occurred and pertain to the entity.

**18** **Rights and obligations assertion: meaning?**

**A** The entity holds or controls the rights to assets, and liabilities are the obligations of the entity.

**19** **Name the seven audit procedures in ICAI's order.**

**A** Inspection, observation, external confirmation, recalculation, reperformance, analytical procedures, inquiry.

**20** **Reperformance: meaning, with an example?**

**A** The auditor's independent execution of procedures or controls originally performed as part of the entity's internal control, e.g. re-performing the bank reconciliation or the ageing of receivables.

**21** **Does inquiry alone give sufficient evidence of the operating effectiveness of controls?**

**A** No. Inquiry alone ordinarily does not provide sufficient audit evidence of the absence of a material misstatement at the assertion level, nor of the operating effectiveness of controls.

**22** **Inspection of a tangible asset gives evidence of which assertion, and not necessarily of which?**

**A** Existence; not necessarily rights and obligations or valuation.

**23** **What is a test of controls?**

**A** An audit procedure designed to evaluate the operating effectiveness of controls in preventing, or detecting and correcting, material misstatements at the assertion level.

**24** **Tests of details comprise what?**

**A** Tests of transactions (vouching) and tests of balances (verification).

## 4.3 SA 610: using the work of internal auditors

**25** **SA 610: define the internal audit function.**

**A** A function of an entity that performs assurance and consulting activities designed to evaluate and improve the effectiveness of the entity's governance, risk management and internal control processes.

**26** **SA 610: in what three ways may the external auditor use the internal audit function?**

**A** (i) To obtain information relevant to assessing the risks of material misstatement; (ii) unless law prohibits or restricts it, to use the function's work in partial substitution for evidence obtained directly; (iii) unless law prohibits or restricts it, to use internal auditors for direct assistance.

**27** **SA 610: what are the objectives of the external auditor?**

**A** (a) To determine whether the work of the internal audit function or direct assistance can be used, and if so in which areas and to what extent; (b) if using the work, to determine whether it is adequate for the audit; (c) if using direct assistance, to appropriately direct, supervise and review the work.

**28** **SA 610: what three things does the external auditor evaluate before using the function's work?**

**A** (A) The extent to which its organisational status and relevant policies and procedures support the internal auditors' objectivity; (B) its level of competence; (C) whether it applies a systematic and disciplined approach, including quality control.

**29** **SA 610: define objectivity.**

**A** The ability to perform those tasks without allowing bias, conflict of interest or undue influence of others to override professional judgments.

**30** **SA 610: when shall the external auditor plan to use less of the function's work and perform more directly?**

**A** The more judgment involved in planning and performing procedures and evaluating evidence; the higher the assessed risk of material misstatement (especially significant risks); the less the status and policies support objectivity; the lower the competence.

**31** **SA 610: what three things shall the external auditor do when using the function's work?**

**A** Discuss the planned use with the function; read its reports on that work; perform sufficient audit procedures on the body of work as a whole to determine its adequacy.

**32** **SA 610: define direct assistance.**

**A** The use of internal auditors to perform audit procedures under the direction, supervision and review of the external auditor.

**33** **SA 610: for which procedures shall internal auditors not provide direct assistance?**

**A** Procedures that involve significant judgments; relate to higher assessed risks where the judgment required is more than limited; relate to work the internal auditors were involved in that has been or will be reported by internal audit to management or those charged with governance; relate to the external auditor's decisions about internal audit under SA 610.

**34** **SA 610: which written agreements are needed before direct assistance?**

**A** From an authorised representative of the entity: internal auditors may follow the external auditor's instructions and the entity will not intervene. From the internal auditors: they will keep specified matters confidential and report any threat to their objectivity.

**35** **SA 610: give five examples of internal audit work that can be used.**

**A** Testing operating effectiveness of controls; substantive procedures involving limited judgment; observations of inventory counts; tracing transactions through the information system; testing compliance with regulatory requirements.

## 4.4 Internal financial controls and ICFR

**36** **What are internal financial controls, as per the Study Material?**

**A** The policies and procedures put in place by companies for ensuring reliability of financial reporting, effectiveness and efficiency of operations, compliance with applicable laws and regulations, safeguarding of assets, and prevention and detection of frauds.

**37** **IFC: what does section 134(5)(e) require?**

**A** In listed companies, the Directors' Responsibility Statement shall state that the directors had laid down internal financial controls to be followed by the company and that they are adequate and were operating effectively.

**38** **IFC: what does section 177(4)(vii) require?**

**A** Every audit committee shall act in accordance with written terms of reference from the Board, which include evaluation of internal financial controls and risk management systems.

**39** **IFC: what does section 149(8) with Schedule IV require of independent directors?**

**A** They shall satisfy themselves on the integrity of financial information and that financial controls and the systems of risk management are robust and defensible.

**40** **Section 143(3)(i): what must the auditor's report state?**

**A** Whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.

**41** **Section 143(3)(i): which companies are exempt from IFC reporting?**

**A** A private company which is a One Person Company, or a small company, or has turnover less than ₹50 crore as per its latest audited financial statements and aggregate borrowings from banks, financial institutions or any body corporate less than ₹25 crore at any point of time during the year.

**42** **Who has primary responsibility for internal financial controls?**

**A** The directors and management, who implement and maintain them; auditors evaluate, validate and report on their design and operating effectiveness.

**43** **Distinguish IFC and ICFR in one line.**

**A** IFC is the wider term covering five purposes; ICFR is the narrower term restricted to internal controls over financial reporting only.

**44** **How does an opinion on ICFR relate to the opinion on the financial statements?**

**A** It is in addition to and distinct from the opinion on the financial statements.

**45** **Where in the company auditor's report is IFC reported?**

**A** Clause (i) of the Report on Other Legal and Regulatory Requirements refers to a separate report, "Annexure A", on the adequacy and operating effectiveness of internal financial controls over financial reporting.

## 4.5 SA 530: audit sampling

**46 SA 530: define audit sampling.**

**A** The application of audit procedures to less than 100% of items within a population of audit relevance such that all sampling units have a chance of selection, to provide a reasonable basis on which to draw conclusions about the entire population.

**47 SA 530: objective of the auditor when using audit sampling?**

**A** To provide a reasonable basis for the auditor to draw conclusions about the population from which the sample is selected.

**48 Define sampling risk and non-sampling risk.**

**A** Sampling risk: the auditor's conclusion based on a sample may differ from the conclusion if the entire population were subjected to the same procedure. Non-sampling risk: an erroneous conclusion for any reason not related to sampling risk.

**49** **Which erroneous conclusion from sampling risk is the auditor primarily concerned with, and why?**

**A** Controls more effective than they are, or no material misstatement when there is one: it affects audit effectiveness and is more likely to lead to an inappropriate opinion.

**50** **What is statistical sampling?**

**A** An approach with random selection of the sample items and the use of probability theory to evaluate sample results, including measurement of sampling risk characteristics.

**51** **SA 530: the three requirements on design, size and selection?**

**A** Consider the purpose of the procedure and the characteristics of the population; determine a sample size sufficient to reduce sampling risk to an acceptably low level; select items so that each sampling unit has a chance of selection.

**52** **Objective of stratification?**

**A** To reduce the variability of items within each stratum and therefore allow sample size to be reduced without increasing sampling risk.

**53** **Effect on sample size: increase in tolerable misstatement? increase in expected misstatement?**

**A** Higher tolerable misstatement decreases the sample size; higher expected misstatement increases it.

**54** **How is the sampling interval computed in systematic selection, and what is its main risk?**

**A** Number of sampling units in the population ÷ sample size. Risk: the interval corresponds with a pattern in the population; use more than one random starting point.

**55** **SA 530: what if a designed or alternative procedure cannot be applied to a selected item?**

**A** Treat the item as a deviation (tests of controls) or a misstatement (tests of details).

**56** **Define anomaly.**

**A** A misstatement or deviation that is demonstrably not representative of misstatements or deviations in a population; accepted only with a high degree of certainty from additional procedures.

**57** **Is explicit projection of deviations needed for tests of controls?**

**A** No. The sample deviation rate is also the projected deviation rate for the population as a whole.

## 4.6 SA 501: inventory, litigation and segment information

**58** **SA 501: what is the objective of the auditor?**

**A** To obtain sufficient appropriate audit evidence regarding the existence and condition of inventory; the completeness of litigation and claims involving the entity; and the presentation and disclosure of segment information in accordance with the applicable financial reporting framework.

**59** **SA 501: what four things does attendance at physical inventory counting aim to do?**

**A** Evaluate management's instructions and procedures for recording and controlling the count; observe the performance of management's count procedures; inspect the inventory; perform test counts.

**60** **SA 501: list the matters relevant in planning attendance at physical inventory counting.**

**A** Nature of inventory; stages of completion of WIP; risks of material misstatement; nature of internal control; whether adequate procedures and proper count instructions are expected; timing of the count; whether a perpetual inventory system is maintained; locations (materiality and risks at each); whether an auditor's expert is needed.

**61** **SA 501: the auditor cannot attend the count due to unforeseen circumstances. What then?**

**A** Make or observe some physical counts on an alternative date, and perform audit procedures on intervening transactions.

**62** **SA 501: attendance at the count is impracticable. What then?**

**A** Perform alternative audit procedures for existence and condition; if that is not possible, modify the opinion in accordance with SA 705.

**63** **SA 501: material inventory is held by a third party. What procedures?**

**A** One or both of: request confirmation from the third party of quantities and condition held on the entity's behalf; perform inspection or other appropriate audit procedures.

**64** **SA 501: what procedures identify litigation and claims?**

**A** Inquiry of management and others, including in-house legal counsel; reviewing minutes of TCWG meetings and correspondence with external legal counsel; reviewing legal expense accounts.

**65** **SA 501: when must the auditor seek direct communication with external legal counsel?**

**A** When the auditor assesses a risk of material misstatement regarding identified litigation or claims, or procedures indicate other material litigation or claims may exist.

**66** **SA 501: what does a letter of specific inquiry include?**

**A** A list of litigation and claims; where available, management's assessment of each outcome and estimate of financial implications, including costs; a request that counsel confirm the reasonableness of those assessments and say if the list is incomplete or incorrect.

**67** **SA 501: when shall the auditor modify the opinion regarding litigation?**

**A** When management refuses permission to communicate or meet with external legal counsel, or counsel refuses or is prohibited from responding, and the auditor cannot obtain sufficient appropriate evidence by alternative procedures.

**68** **SA 501: what is the auditor's responsibility for segment information?**

**A** It is in relation to the financial statements taken as a whole; the auditor need not perform procedures needed for an opinion on segment information on a standalone basis.

## 4.7 SA 505: external confirmations

**69** **SA 505: define external confirmation.**

**A** Audit evidence obtained as a direct written response to the auditor from a third party (the confirming party), in paper form, or by electronic or other medium.

**70** **SA 505: positive versus negative confirmation request?**

**A** Positive: the confirming party responds directly to the auditor indicating agreement or disagreement, or providing the information. Negative: it responds directly to the auditor only if it disagrees with the information in the request.

**71** **SA 505: define non-response.**

**A** A failure of the confirming party to respond, or fully respond, to a positive confirmation request, or a confirmation request returned undelivered.

**72** **SA 505: define exception.**

**A** A response that indicates a difference between information requested to be confirmed, or contained in the entity's records, and information provided by the confirming party.

**73** **SA 505: over what must the auditor maintain control?**

**A** External confirmation requests, including determining the information to be confirmed, selecting the appropriate confirming party, designing the requests (properly addressed, replies directly to the auditor) and sending them, including follow-ups.

**74** **SA 505: list the factors in designing confirmation requests.**

**A** Assertions addressed; identified risks including fraud; layout and presentation; prior experience; method of communication; management's authorisation or encouragement to respond; the confirming party's ability to confirm the information.

**75** **SA 505: what three steps when management refuses a confirmation request?**

**A** Inquire into the reasons and seek evidence of their validity and reasonableness; evaluate the implications for risks (including fraud) and other procedures; perform alternative audit procedures.

**76** **SA 505: when does a refusal go to those charged with governance?**

**A** When the auditor concludes the refusal is unreasonable, or cannot obtain relevant and reliable evidence from alternative procedures; the auditor communicates under SA 260 and determines the implications under SA 705.

**77** **SA 505: when may negative requests be the sole substantive procedure?**

**A** Only if all are present: RoMM assessed as low with controls tested as operating effectively; a large number of small, homogeneous items; a very low expected exception rate; no known reason for recipients to disregard the requests.

**78** **SA 505: how may the results of individual requests be categorised?**

**A** Agreement (or information provided without exception); a response deemed unreliable; a non-response; a response indicating an exception.

**79** **SA 505: alternative procedures for receivables and payables?**

**A** Receivables: subsequent cash receipts, shipping documentation, sales near the period end. Payables: subsequent cash disbursements, correspondence from third parties, other records such as goods received notes.

## 4.8 SA 510: opening balances

## in initial engagements

**80** **SA 510: what is an initial audit engagement?**

**A** An engagement in which either (i) the financial statements for the prior period were not audited; or (ii) they were audited by a predecessor auditor.

**81** **SA 510: define opening balances.**

**A** Account balances that exist at the beginning of the period, based on the prior period's closing balances and reflecting prior transactions, events and accounting policies; they include matters requiring disclosure at the start, such as contingencies and commitments.

**82** **SA 510: who is a predecessor auditor?**

**A** The auditor from a different audit firm who audited the prior period's financial statements and has been replaced by the current auditor.

**83** **SA 510: what is the objective of the auditor regarding opening balances?**

**A** To obtain sufficient appropriate audit evidence about whether (a) opening balances contain misstatements that materially affect the current period's financial statements; and (b) appropriate accounting policies reflected in them are consistently applied, or changes are properly accounted for and adequately presented and disclosed.

**84** **SA 510: the three things the auditor does to obtain evidence about opening balances?**

**A** (a) Determine whether prior closing balances are correctly brought forward (or adjustments disclosed as prior period items); (b) determine whether opening balances reflect appropriate accounting policies; (c) one or more of: peruse the audited prior statements, evaluate this year's procedures, perform specific procedures.

**85** **SA 510: the four matters on which the nature and extent of procedures depend?**

**A** The entity's accounting policies; the nature of balances and transactions and the risks of material misstatement this year; the significance of opening balances relative to this year; whether the prior period was audited and, if so, whether the predecessor's opinion was modified.

**86** **SA 510: additional procedures for opening inventory?**

**A** Observe a current physical count and reconcile it to opening quantities; test the valuation of opening inventory items; perform procedures on gross profit and cut-off.

**87** **SA 510: how is evidence obtained for opening long-term debt and investments?**

**A** By examining the accounting records and other information underlying the opening balances, and in certain cases by confirmation with third parties.

**88** **SA 510: the opinion if sufficient appropriate evidence on opening balances cannot be obtained?**

**A** A qualified opinion or a disclaimer of opinion, as appropriate, in accordance with SA 705.

**89** **SA 510: the opinion if a material opening misstatement, or a change in accounting policies, is not properly accounted for or disclosed?**

**A** A qualified opinion or an adverse opinion, as appropriate, in accordance with SA 705.

**90** **SA 510: what must the auditor do on concluding that opening misstatements exist in this year's financial statements?**

**A** Communicate the misstatements with the appropriate level of management and those charged with governance.

## 4.9 SA 550: related parties

**91** **SA 550: define a related party where the framework establishes minimal or no requirements.**

**A** (a) A person or entity that has control or significant influence over the reporting entity; (b) an entity over which the reporting entity has control or significant influence; or (c) an entity under common control with it through common controlling ownership, owners who are close family members, or common key management (directly or through intermediaries).

**92** **SA 550: are entities under common control by a state related parties?**

**A** No, unless they engage in significant transactions or share resources to a significant extent with one another.

**93** **SA 550: what is control?**

**A** The power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

**94** **SA 550: what is significant influence?**

**A** The power to participate in the financial and operating policy decisions of an entity, but not control over those policies; it may be gained by share ownership, statute or agreement.

**95** **SA 550: which relationships may indicate control or significant influence?**

**A** Equity holdings or financial interests in the entity; the entity's holdings in other entities; being part of TCWG or key management; being a close family member of such a person; a significant business relationship with such a person.

**96** **SA 550: three examples of why related party transactions may carry higher risk?**

**A** Complex relationships and structures; information systems ineffective at identifying or summarising them; transactions not under normal market terms, some with no exchange of consideration.

**97** **SA 550: what shall the auditor inquire of management?**

**A** The identity of related parties (including changes from the prior period); the nature of the relationships; whether transactions occurred in the period and, if so, their type and purpose.

**98** **SA 550: the controls the auditor shall understand?**

**A** Controls to identify, account for and disclose related party relationships and transactions; to authorise and approve significant transactions with related parties; and to authorise and approve significant transactions outside the normal course of business.

**99** **SA 550: how does the auditor obtain the understanding in a smaller entity?**

**A** Through inquiry of management combined with other procedures, such as observation of management's oversight and review activities, and inspection of available relevant documentation.

**100** **SA 550: when may a special-purpose entity be a related party?**

**A** When the entity in substance controls it, even if it owns little or none of the special-purpose entity's equity.

**101** **SA 550: name six records that may reveal related parties.**

**A** Income tax returns; information supplied to regulators; shareholder registers; conflict-of-interest statements; contracts with key management or TCWG; significant contracts not in the ordinary course (also: investment and pension records, advisers' invoices, life insurance policies, re-negotiated contracts, internal audit reports, securities filings).

## 4.10 SA 520: analytical procedures

**102** **SA 520: define analytical procedures.**

**A** Evaluations of financial information through analysis of plausible relationships among both financial and non-financial data, including such investigation as is necessary of fluctuations or relationships that are inconsistent with other relevant information or differ from expected values by a significant amount.

**103** **SA 520: what are the objectives of the auditor?**

**A** (a) To obtain relevant and reliable audit evidence when using substantive analytical procedures; (b) to design and perform analytical procedures near the end of the audit that assist when forming an overall conclusion as to whether the financial statements are consistent with the auditor's understanding of the entity.

**104** **Name the four techniques of substantive analytical procedures.**

**A** Trend analysis, ratio analysis, reasonableness tests, structural modelling.

**105** **SA 520: the four requirements when designing and performing substantive analytical procedures?**

**A** Determine suitability for the assertions; evaluate the reliability of the data; develop a sufficiently precise expectation; determine the difference acceptable without further investigation.

**106** **Which four matters are relevant to the reliability of data for substantive analytical procedures?**

**A** Source of the information; its comparability; its nature and relevance (e.g. budgets as expected results, not goals); controls over its preparation.

**107** **SA 520: how does the auditor investigate a significant difference?**

**A** By inquiring of management and obtaining appropriate audit evidence relevant to management's responses, and by performing other audit procedures as necessary in the circumstances.

**108** **How does a higher assessed risk affect the acceptable difference?**

**A** It decreases it, because SA 330 requires more persuasive evidence the higher the assessed risk.

**109** **How does a reasonableness test differ from trend analysis?**

**A** It does not rely on prior periods but on non-financial data for the audit period (e.g. occupancy rates to estimate rental income).

**110** **Name the seven factors for substantive analytical procedures.**

**A** Availability of data, disaggregation, account type, source, predictability, nature of assertion, inherent risk ("what can go wrong").

**111** **At what stages are analytical procedures used?**

**A** Required at planning and completion; often used during testing.

**112** **What if analytical procedures at the end of the audit reveal a previously unrecognised risk?**

**A** SA 315 requires the auditor to revise the assessment of the risks of material misstatement and modify the further planned audit procedures.

## 4.11 Audit trail

**113** **What is an audit trail, as per the Study Material?**

**A** A documented flow of a transaction, used to investigate how a source document was translated into an account entry and from there into the financial statements; used as audit evidence to establish the authentication and integrity of a transaction.

**114** **What is the purpose of audit trails (audit logs)?**

**A** To reduce fraud, material errors and unauthorised use, by documenting evidence of events, procedures or operations.

**115** **How do audit trails help an entity?**

**A** They enhance internal controls and data security, fix responsibility, rebuild events and analyse problem areas, and help ensure the system operates as intended.

**116** **What costs do audit trails involve, and how are they reduced?**

**A** System expenditure and the time to analyse their data; automated tools can analyse the large volumes of data.

**117** **How does an audit trail help the auditor?**

**A** It helps verify whether controls devised by management operated effectively and whether a transaction was performed by an authorised person, and increases the reliability of audit evidence.

**118** **Rule 11: what does the auditor report about accounting software and the audit trail?**

**A** Whether the company used software with an audit trail (edit log) facility, operated throughout the year for all transactions, not tampered with, and preserved as per statutory record retention requirements.

**119** **What must the auditor's report contain if a Rule 11 matter is answered in the negative?**

**A** The reasons for the negative or qualified answer, in terms of section 143(4).

**120** **How does the auditor test a control that leaves no audit trail?**

**A** By inquiry about, and observation of, the control, to determine who actually performs each function and not merely who is supposed to.

CHAPTER 5

# Audit of Items of Financial Statements

## 5.1 Audit of revenue and other income

**1** **Audit of sales: what does the occurrence assertion require?**

**A** That recorded sales represent goods shipped or services performed during the period, so revenue is not overstated.

**2** **Audit of sales: list four checks the Study Material gives to ensure revenue is not overstated.**

**A** Any of: an invoice recorded twice or a cancelled invoice recorded; test check invoices with the sales journal; confirmations from customers; fictitious customers and sales; year-end shipments without the customer's consent; unearned revenue recorded as earned; substantial uncertainty about collectability; customer obligations contingent on other actions.

**3** **Why do sales cut-off errors usually arise?**

**A** Because revenue is recognised on the date the sales invoice is generated rather than the date the risks and rewards are transferred to the buyer.

**4** **Why does the auditor verify credit notes issued after the year end?**

**A** Sales staff may book fictitious sales before the year end to meet targets and cancel them with a credit note after the year end.

**5** **What are substantive analytical procedures for sales?**

**A** Sales trend analysis, comparison with the previous period, category-wise sales analysis and, most important, building a sales expectation (units × average price, after the discount policy) and comparing it with the client's records.

**6** **How is interest on fixed deposits recognised, and how does the auditor verify it?**

**A** On a time proportion basis. Listing with rate and days; recompute; trace year-end deposits to bank confirmations; bank's confirmation of interest; reconcile with Form 26AS.

**7** **When is dividend income recognised in the statement of profit and loss?**

**A** Only when the right to receive payment is established, it is probable that the economic benefits will flow to the entity, and the amount can be measured reliably.

**8** **When is a gain or loss on sale of mutual fund units recorded, and at what amount?**

**A** On transfer of title from the entity; redemption price less carrying value of the investment.

**9** **Schedule III: the heads of revenue from operations for a company other than a finance company?**

**A** (a) Sale of products; (b) sale of services; (ba) grants or donations received (section 8 companies only); (c) other operating revenues; less (d) excise duty.

**10** **Schedule III: how is other income classified?**

**A** (a) Interest income (company other than a finance company); (b) dividend income; (c) net gain or loss on sale of investments; (d) other non-operating income (net of expenses directly attributable to such income).

**11** **Schedule III: what must be disclosed about undisclosed income?**

**A** Transactions not recorded in the books but surrendered or disclosed as income in tax assessments (search, survey etc.), unless immune under a scheme, and whether the previously unrecorded income and related assets are now recorded in the books.

## 5.2 Audit of expenses

**12** **Audit of purchases: what is a 3-way match?**

**A** A tally of the purchase order, the goods receipt note and the vendor invoice before the invoice is approved and recorded.

**13** **Audit of purchases: list the occurrence checks the Study Material gives.**

**A** Fictitious vendors (vendor selection and existence); goods received at the gate with a security gate inward entry; quality inspection; GRN prepared and signed; invoice approved per delegation of authority with 3-way or 2-way match; stock record updated.

**14** **Which analytical procedures check the overall reasonableness of purchase quantity and price?**

**A** Consumption analysis, stock composition analysis, ratios (creditors turnover and stock turnover), and review of the quantitative reconciliation of closing stock with opening stock, purchases and consumption.

**15** **How does the auditor address the risk of fictitious employees?**

**A** Understand the attendance process; meet employees in person on a sample basis; ask payroll for bank details or identity proofs of a sample of employees.

**16** **What is a monthly payroll reasonability?**

**A** Average salary per employee per month from the 12 salary registers, compared with the previous year and the preceding month, with variances explained (increments, senior joiners or leavers, bonus pay-outs).

**17** **When does depreciation of an asset begin?**

**A** When it is available for use: in the location and condition necessary for it to operate in the manner intended by management, not from the date of actual usage.

**18** **List the six attributes the auditor vouches for other expenses.**

**A** Current period; revenue not capital; valid supporting documents; correct expense head; authorised as per the delegation of authority matrix; business and not personal.

**19** **Why should the auditor be cautious while vouching legal expenses?**

**A** They may highlight a dispute for which no provision has been made and which was not discussed with the auditor.

**20** **Schedule III: how is employee benefits expense shown?**

**A** Showing separately (i) salaries and wages, (ii) contribution to provident and other funds, (iii) expense on ESOP and ESPP, (iv) staff welfare expenses.

**21** **Schedule III: what CSR details are disclosed?**

**A** Amount required to be spent; amount spent; shortfall at year end; total of previous years' shortfall; reason for shortfall; nature of CSR activities; related party transactions; movements in any provision for a contractual obligation.

**22** **Audit of rent expense: what does the auditor check?**

**A** A month-wise schedule with the agreements; all 12 months at the agreed amount; the escalation clause for straight-line recording; agreement in the entity's name for premises used in its business.

## 5.3 Audit of share capital, reserves and borrowings

**23** **Share capital: what does the auditor do when there has been no change during the year?**

**A** Tally authorised, issued and paid-up capital to the previous year's audited financial statements and obtain a written confirmation or representation from the Company Secretary that the capital structure did not change.

**24** **Section 52: list the purposes for which securities premium may be applied.**

**A** (a) Fully paid bonus shares; (b) writing off preliminary expenses; (c) writing off expenses of, or commission paid or discount allowed on, any issue of shares or debentures; (d) premium payable on redemption of redeemable preference shares or debentures; (e) buy-back under section 68.

**25** **Section 52: what two things does the auditor verify?**

**A** That the premium received has been transferred to a securities premium account, and that any application of it is only for the purposes permitted.

**26** **Section 53: what are the consequences of issuing shares at a discount in contravention?**

**A** The shares are void; the company and every officer in default are liable to a penalty up to the amount raised at a discount or ₹5 lakh, whichever is less; the company must refund all monies received with interest at 12% per annum from the date of issue.

**27** **Section 53: when may shares be issued at a discount?**

**A** Sweat equity shares under section 54; and to creditors when debt is converted into shares under a statutory resolution plan or debt restructuring scheme in accordance with RBI guidelines.

**28** **Section 54: what are sweat equity shares?**

**A** Equity shares issued to employees or directors at a discount or for consideration other than cash, for providing know-how or making available intellectual property rights or value additions.

**29** **Section 54: what conditions does the auditor verify for sweat equity?**

**A** Of a class already issued; authorised by a special resolution; the resolution specifies the number, current market price, consideration and class of directors or employees; listed: as per SEBI regulations, unlisted: as per prescribed rules.

**30** **What is a reserve, as per the Study Material?**

**A** Amounts appropriated out of profits that are not intended to meet any liability, contingency, commitment or diminution in value of assets known to exist at the balance sheet date.

**31** **Schedule III: how is a debit balance of the statement of profit and loss shown?**

**A** As a negative figure under the head "Surplus"; reserves and surplus, after adjusting it, is shown even if the result is negative.

**32** **Borrowings: what if the entity breaches a loan covenant?**

**A** Determine whether the debt should be classified as current; if the lender has waived enforcement, obtain confirmation of the waiver from the lender; ensure disclosure of restrictive covenants and default.

**33** **Schedule III: what is disclosed for borrowings secured on current assets (additional regulatory information)?**

**A** Whether the quarterly returns or statements of current assets filed with banks or financial institutions agree with the books, and if not, a summary of the reconciliation and reasons for material discrepancies.

**34** **How is a cash credit against stocks and debtors, guaranteed by directors, shown?**

**A** Under short-term borrowings as secured "loans repayable on demand" from banks, with the nature of security, and the aggregate amount of loans guaranteed by directors disclosed.

## 5.4 Audit of trade payables, provisions and other liabilities

**35** **Trade payables: to whom must confirmations be sent?**

**A** All significant payable balances at the period end, and parties from whom material purchases were made during the period even if their period-end balance is not significant.

**36** **Which form of confirmation request is preferable for trade payables?**

**A** The form with no balance, asking the creditor to state the balance as per its records.

**37** **What does the auditor do if management asks it not to confirm certain trade payables?**

**A** Considers whether there are valid grounds; in appropriate cases reconsiders the nature, timing and extent of procedures, including the degree of planned reliance on management's representations. Under SA 505: inquire into the reasons and seek evidence of their validity, evaluate the effect on risk (including fraud) and other procedures, and perform alternative procedures.

**38** **What additional testing is done when a creditor does not reply to a confirmation?**

**A** Test subsequent payments; agree the balance to the vendor invoices; prepare a detailed analysis of the balance and confirm the transactions occurred (examination in depth).

**39** **List the cut-off procedures for trade payables.**

**A** For the last 5 invoices recorded at the reporting date, goods received or risks and rewards transferred; all goods received before the year end booked as purchases and creditors; invoice dates matched to gate entry dates.

**40** **How does the auditor test statutory dues for completeness?**

**A** A reasonability of the last month's liability (rate × sales for GST, rate × employee benefit expense for PF), variances explained; challans for deposits after the period end verified; a complete list prepared for CARO 2020.

**41** **Who should approve the write-back of old creditor balances?**

**A** An appropriate and authorised member of senior management, for example the CEO or MD.

**42** **When is a provision recognised?**

**A** When there is a present obligation (legal or constructive) from a past event, an outflow of resources is probable, and a reliable estimate of the amount can be made.

**43** **What does the auditor evaluate when using the work of a management's expert for a provision?**

**A** The expert's competence, capabilities and objectivity; an understanding of the expert's work (assumptions, methods, data); and the appropriateness of the work as audit evidence (relevance, reasonableness, source data).

**44** **AS 29: what movement is disclosed for each class of provision?**

**A** Carrying amount at the beginning and end; additional provisions, including increases; amounts used; unused amounts reversed.

**45** **Schedule III: the rows of the trade payables ageing schedule?**

**A** (i) MSME; (ii) Others; (iii) Disputed dues – MSME; (iv) Disputed dues – Others; periods from the due date: below 1 year, 1–2, 2–3, above 3 years; unbilled dues separately.

**46** **Schedule III: list four items of other current liabilities.**

**A** Any of: current maturities of finance lease obligations; interest accrued but not due on borrowings; interest accrued and due; income received in advance; unpaid dividends; application money due for refund with interest; unpaid matured deposits and debentures with interest.

## 5.5 Audit of property, plant, equipment and intangibles

**47** **AS 10: when should the cost of an item of PPE be recognised as an asset?**

**A** If, and only if, it is probable that future economic benefits associated with the item will flow to the enterprise, and the cost of the item can be measured reliably.

**48** **What three elements make up the cost of an item of PPE?**

**A** Purchase price (including import duties and non-refundable purchase taxes, after trade discounts and rebates); costs directly attributable to bringing it to the location and condition for its intended operation; the initial estimate of dismantling, removal and site restoration costs.

**49** **Give the four examples of costs that are not costs of PPE.**

**A** Opening a new facility or business (inauguration); introducing a new product or service (advertising and promotion); conducting business in a new location or with a new class of customer (staff training); administration and other general overheads.

**50** **How does the auditor establish the existence of PPE?**

**A** Review the physical verification plan and its periodicity, examine evidence of supervision, obtain the verification report with working sheets, check tagging, reconcile with the fixed asset register, and verify how discrepancies were dealt with.

**51** **How does the auditor establish rights and obligations over PPE?**

**A** Purchase invoices in the entity's name; conveyance or sale deeds for additions to land and building; original title deeds of all immovable properties; lenders' confirmation where deeds are held as security; the register of charges.

**52** **How is the existence of an intangible asset verified?**

**A** By verifying that it is in active use: for software, the sale of related goods or services in which it was used; for designs or drawings, production data showing the products are made and sold.

**53** **What should the auditor check for an intangible asset not in active use?**

**A** That the deletion was recorded in the books after management's approval, and that amortisation ceased beyond the date of deletion.

**54** **When is computer software a fixed asset and when an intangible asset?**

**A** When it is an integral part of the related hardware (the machine cannot operate without it, or an operating system) it is a fixed asset; otherwise it is an intangible asset.

**55** **Schedule III: the classification of PPE?**

**A** Land; Buildings; Plant and Equipment; Furniture and Fixtures; Vehicles; Office equipment; Others (specify nature).

**56** **Schedule III: what does the CWIP ageing schedule show?**

**A** Amounts in CWIP for less than 1 year, 1–2 years, 2–3 years and more than 3 years, for projects in progress and projects temporarily suspended; the total tallies with CWIP in the balance sheet.

**57** **Schedule III: which immovable property must be reported under "title deeds not held in the name of the company"?**

**A** All immovable property whose title deeds are not in the company's name, other than property where the company is the lessee under a duly executed lease; jointly held property to the extent of the company's share.

**58** **When does depreciation of a new machine begin?**

**A** When it is available for use, that is, in the location and condition necessary to operate as management intends, not from the date of actual use.

## 5.6 Audit of inventories, receivables,

## cash and loans and advances

**59** **Trade receivables: name four points considered when testing controls over sales.**

**A** Only bona fide sales lead to receivables; sales only to approved customers; all sales properly recorded; once recorded, settled only by cash or on a responsible official's authority (also: segregation of duties, timely collection, reminders and legal action, regular review, follow-up and provision from an ageing schedule).

**60** **Which form of confirmation request for trade receivables is preferable?**

**A** The form without any balance, in which the debtor states the balance as per its records.

**61** **What alternative procedures apply when a debtor does not reply to a confirmation?**

**A** Agreeing the balance to cash received subsequently; preparing a detailed analysis of the balance into identifiable transactions and confirming that those sales occurred.

**62** **Why must cash be counted by surprise and all balances simultaneously?**

**A** Without surprise there is no certainty that the cash produced was held by the custodian; simultaneous counting stops a shortage in one balance being made good by transfer from another.

**63** **BRS: how is a cheque issued 3 months or more ago and not presented treated?**

**A** It is stale: it should not appear in the BRS and should be taken back to liabilities.

**64** **BRS: what if bank charges or credits not accounted for are material?**

**A** Management should record the adjustments; if it does not, the auditor shall consider qualifying the report.

**65** **Schedule III: the four rows of the trade receivables ageing schedule?**

**A** Undisputed, considered good; undisputed, considered doubtful; disputed, considered good; disputed, considered doubtful (columns: < 6 months, 6 months–1 year, 1–2, 2–3, > 3 years, total).

**66** **Schedule III: how are cash and cash equivalents classified?**

**A** Balances with banks; cheques, drafts on hand; cash on hand; others (specify nature); with earmarked balances, margin money, repatriation restrictions and deposits over 12 months' maturity shown separately.

**67** **How does the auditor verify ownership of inventory held by a third party?**

**A** By insisting on a declaration on the third party's letterhead, signed by its authorised personnel, that the items belong to the entity and are held on its behalf and for its benefit.

**68** **What is the inventory turnover ratio, and what does a low one suggest?**

**A** Cost of goods sold / average inventory; a significantly lower ratio may reveal obsolete inventory.

**69** **Loans and advances: what must the auditor confirm about a material loan's authority?**

**A** That it is authorised by the Memorandum and Articles of Association, within the competence of those who advanced it (directors in a company), and approved by the board of directors.

**70** **Schedule III: which loans to promoters, directors, KMPs and related parties need the additional disclosure?**

**A** Loans or advances in the nature of loans that are repayable on demand or without any terms or period of repayment: amount outstanding and percentage to total loans and advances in the nature of loans.

## 5.7 Audit of contingent liabilities

**71** **What is a contingent liability?**

**A** (i) A possible obligation arising from past events whose existence will be confirmed only by uncertain future events not wholly within the entity's control; or (ii) a present obligation from past events not recognised because an outflow is not probable or the amount cannot be measured with sufficient reliability.

**72** **When is a provision recognised?**

**A** When there is a present obligation (legal or constructive) from a past event, an outflow of resources embodying economic benefits is probable, and a reliable estimate can be made of the amount.

**73** **When is a contingent liability not disclosed at all?**

**A** When the possibility of any outflow in settlement is remote.

**74** **State the Study Material's audit procedures for provisions and contingent liabilities, in order.**

**A** List of provisions compared with the ledger; inspect agreements (warranty commitments) and legal and other claims; obtain management's working and basis; obtain the expert's report (actuary; legal expert: probable, possible or remote) and verify its assumptions; evaluate the management's expert under SA 500; obtain a written representation that all required provisions are made.

**75** **SA 500: what does the auditor evaluate about a management's expert?**

**A** Competence, capabilities and objectivity; an understanding of the expert's work (assumptions, methods, data); the appropriateness of the work as audit evidence (reasonableness of findings, relevance, completeness and accuracy of source data).

**76** **SA 501: the three procedures to identify litigation and claims?**

**A** Inquiry of management and others within the entity, including in-house legal counsel; reviewing minutes of meetings of those charged with governance and correspondence with external legal counsel; reviewing legal expense accounts.

**77** **SA 501: what does a letter of specific inquiry include?**

**A** A list of litigation and claims; where available, management's assessment of each outcome and its estimate of the financial implications, including costs; a request that counsel confirm the reasonableness of the assessments and add information if the list is incomplete or incorrect.

**78** **SA 501: what if management refuses permission to communicate with external counsel?**

**A** If the auditor cannot obtain sufficient appropriate audit evidence by alternative procedures, the auditor shall modify the opinion in accordance with SA 705.

**79** **Schedule III: how are contingent liabilities classified?**

**A** Claims against the company not acknowledged as debt; guarantees; other money for which the company is contingently liable.

**80** **Schedule III: how are commitments classified?**

**A** Estimated amount of contracts remaining to be executed on capital account and not provided for; uncalled liability on shares and other investments partly paid; other commitments (specify nature).

**81** **AS 29: what is disclosed for each class of contingent liability?**

**A** Unless the outflow is remote: a brief description of its nature and, where practicable, an estimate of its financial effect, an indication of the uncertainties relating to any outflow, and the possibility of any reimbursement; if not practicable, that fact is stated.

CHAPTER 6

# Audit Documentation

## 6.1 SA 230: audit documentation

**1 SA 230: define audit documentation.**

**A** The record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached; also called working papers or work papers.

**2 SA 230: what is the objective of the auditor?**

**A** To prepare documentation that provides a sufficient and appropriate record of the basis for the auditor's report, and evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

**3 SA 230: list the purposes of audit documentation.**

**A** Assisting the team to plan and perform the audit; to direct, supervise and review; accountability of the team; record of matters of continuing significance; quality control reviews under SQC 1; external inspections.

**4** **SA 230: documentation must enable an experienced auditor with no previous connection with the audit to understand what?**

**A** The nature, timing and extent of procedures performed; the results and the evidence obtained; significant matters, the conclusions reached and significant professional judgments made.

**5** **SA 230: what must be recorded when documenting the nature, timing and extent of procedures?**

**A** The identifying characteristics of the items tested; who performed the work and the date completed; who reviewed it and the date and extent of the review.

**6** **SA 230: on what factors do the form, content and extent of documentation depend?**

**A** Size and complexity of the entity; nature of procedures; identified risks of material misstatement; significance of evidence; nature and extent of exceptions; need to document a conclusion not readily determinable; audit methodology and tools.

**7** **SA 230: what need not be included in audit documentation?**

**A** Superseded drafts of working papers and financial statements; notes reflecting incomplete or preliminary thinking; previous copies corrected for typographical or other errors; duplicates of documents.

**8** **SA 230 / SQC 1: time limit for assembling the final audit file?**

**A** Ordinarily not more than 60 days after the date of the auditor's report; assembly is an administrative process with no new procedures or conclusions.

**9** **SA 230: give examples of administrative changes allowed during final assembly.**

**A** Deleting or discarding superseded documentation; sorting, collating and cross-referencing; signing off file-assembly checklists; documenting evidence obtained, discussed and agreed with the team before the report date.

**10** **SQC 1: retention period for audit documentation?**

**A** Ordinarily no shorter than seven years from the date of the auditor's report or, if later, the date of the group auditor's report.

**11** **SA 230: what is a completion memorandum?**

**A** A summary describing the significant matters identified during the audit and how they were addressed; it facilitates review and inspection, especially of large and complex audits.

**12** **Who owns audit documentation?**

**A** Unless law or regulation specifies otherwise, the auditor (SQC 1); extracts may be given to clients at the auditor's discretion if validity of the work and independence are not undermined.

CHAPTER 7

# Completion and Review

## 7.1 SA 560: subsequent events

**1 SA 560: what are subsequent events?**

**A** Events occurring between the date of the financial statements and the date of the auditor's report, and facts that become known to the auditor after the date of the auditor's report.

**2 SA 560: the two types of subsequent events?**

**A** (a) Those that provide evidence of conditions that existed at the date of the financial statements; (b) those that provide evidence of conditions that arose after that date.

**3 SA 560: two examples of events evidencing conditions that existed at the year-end?**

**A** Insolvency of a major debtor between the year-end and the report date; settlement of a legal claim, already provided for, out of court at a reduced amount.

**4** **SA 560: three examples of events evidencing conditions that arose after the year-end?**

**A** Issue of new share capital; planned merger; destruction of substantial inventories by fire between the year-end and the report date.

**5** **SA 560: what are the objectives of the auditor?**

**A** (a) To obtain sufficient appropriate evidence that events up to the report date requiring adjustment or disclosure are appropriately reflected; (b) to respond appropriately to facts known after the report date that, had they been known then, may have caused the auditor to amend the report.

**6** **SA 560: the four procedures for events up to the report date?**

**A** Understand management's procedures to identify subsequent events; inquire of management and TCWG; read minutes of meetings held after the year-end (and inquire about those not yet minuted); read the latest subsequent interim financial statements.

**7** **SA 560: meaning of "date the financial statements are issued"?**

**A** The date the auditor's report and audited financial statements are made available to third parties; it must be at or after the date of the auditor's report and the date the report is provided to the entity.

**8** **SA 560: the first three steps when a fact becomes known after the report date?**

**A** Discuss the matter with management and, where appropriate, TCWG; determine whether the financial statements need amendment; if so, inquire how management intends to address it.

**9** **SA 560: management will not amend; the report has already been provided. What does the auditor do?**

**A** Notify management and (unless all TCWG manage the entity) TCWG not to issue the statements to third parties before amendment; if issued anyway, take appropriate action to seek to prevent reliance on the report.

**10** **SA 560: how is a new report on amended financial statements dated?**

**A** No earlier than the date of approval of the amended financial statements, with subsequent-events procedures extended to that date.

**11** **SA 560: what must a new report on amended, previously issued financial statements include?**

**A** An Emphasis of Matter or Other Matter paragraph referring to the note explaining the reason for the amendment and to the earlier report provided by the auditor.

**12** **SA 560: why obtain a written representation on subsequent events after performing procedures?**

**A** The procedures may not reveal every subsequent event; the representation is management's acknowledgment that all events requiring adjustment or disclosure have been adjusted or disclosed.

## 7.2 SA 570: going concern

**13** **SA 570: what does the going concern assumption mean?**

**A** The enterprise is viewed as continuing in operation for the foreseeable future, having neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations.

**14** **SA 570: what are the objectives of the auditor?**

**A** (a) To obtain sufficient appropriate evidence and conclude on the appropriateness of management's use of the going concern basis; (b) to conclude whether a material uncertainty exists; (c) to report in accordance with SA 570.

**15** **SA 570: is an auditor's report without a material uncertainty reference a guarantee of going concern?**

**A** No. Inherent limitations are greater for future events or conditions that the auditor cannot predict.

**16** **SA 570: give five operating events or conditions that may cast significant doubt.**

**A** Management intentions to liquidate or cease operations; loss of key management without replacement; loss of a major market, key customer, franchise, licence or principal supplier; labour difficulties; shortages of important supplies; emergence of a highly successful competitor.

**17** **SA 570: give five financial events or conditions that may cast significant doubt.**

**A** Net (current) liability position; maturing fixed-term borrowings without realistic prospects of renewal or repayment; negative operating cash flows; adverse key financial ratios; arrears or discontinuance of dividends (also: losses, inability to pay creditors, loan-term breaches, cash-on-delivery suppliers).

**18** **SA 570: the period management's assessment must cover?**

**A** The same period as required by the framework or law (if longer); if less than twelve months from the date of the financial statements, the auditor requests an extension to at least twelve months.

**19** **SA 570: the additional procedures required when events or conditions are identified?**

**A** Request an assessment if none; evaluate management's plans and their feasibility; for a significant cash flow forecast, evaluate data reliability and support for assumptions; consider new facts since the assessment; obtain written representations on plans.

**20** **SA 570: when does a material uncertainty exist?**

**A** When the magnitude of its potential impact and likelihood of occurrence is such that, in the auditor's judgment, appropriate disclosure of its nature and implications is necessary.

**21** **SA 570: report when the basis is appropriate and a material uncertainty is adequately disclosed?**

**A** Unmodified opinion with a separate section headed "Material Uncertainty Related to Going Concern" that draws attention to the note and states that the opinion is not modified in respect of the matter.

**22** **SA 570: report when a material uncertainty is not adequately disclosed?**

**A** Qualified or adverse opinion under SA 705, stating in the Basis section that a material uncertainty exists and that the financial statements do not adequately disclose it.

**23** **SA 570: report when the going concern basis is inappropriate?**

**A** An adverse opinion.

**24** **SA 570: report when management is unwilling to make or extend its assessment?**

**A** The auditor considers the implications: a qualified opinion or a disclaimer of opinion may be appropriate.

## 7.3 SA 450: evaluating misstatements

**25** **SA 450: what is the objective of the auditor?**

**A** To evaluate (a) the effect of identified misstatements on the audit; and (b) the effect of uncorrected misstatements, if any, on the financial statements.

**26** **SA 450: what are "uncorrected misstatements"?**

**A** Misstatements that the auditor has accumulated during the audit and that have not been corrected.

**27** **SA 450: which misstatements does the auditor accumulate?**

**A** All misstatements identified during the audit, other than those that are clearly trivial.

**28** **SA 450: when must the auditor consider revising the overall audit strategy and audit plan?**

**A** When the nature and circumstances of identified misstatements indicate other misstatements may exist that, aggregated, could be material; or when the aggregate of accumulated misstatements approaches materiality.

**29** **SA 450: management examined a class of transactions at the auditor's request and corrected what it found. What must the auditor do?**

**A** Perform additional audit procedures to determine whether misstatements remain.

**30** **SA 450: what must the auditor do if management refuses to correct misstatements?**

**A** Obtain an understanding of management's reasons and take it into account when evaluating whether the financial statements as a whole are free from material misstatement.

**31** **SA 450: what must the auditor do before evaluating the effect of uncorrected misstatements?**

**A** Reassess materiality determined under SA 320 to confirm whether it remains appropriate in the context of the entity's actual financial results.

**32** **SA 450: what two things does the auditor consider in deciding whether uncorrected misstatements are material?**

**A** (a) Their size and nature, in relation to particular classes, balances or disclosures and the financial statements as a whole, and the circumstances of their occurrence; (b) the effect of uncorrected misstatements related to prior periods.

**33** **SA 450: what is communicated to those charged with governance?**

**A** Uncorrected misstatements and the effect they may have on the opinion, with material ones identified individually; a request for correction; and the effect of prior-period uncorrected misstatements. Unless prohibited by law or regulation.

**34** **SA 450: what written representation is requested?**

**A** Whether management (and, where appropriate, those charged with governance) believe the effects of uncorrected misstatements are immaterial, individually and in aggregate, with a summary of the items included in or attached to it.

**35** **SA 450: what must the audit documentation include?**

**A** The amount below which misstatements are clearly trivial; all misstatements accumulated and whether corrected; the conclusion on whether uncorrected misstatements are material, individually or in aggregate, and its basis.

## 7.4 SA 580: written representations

**36** **SA 580: what is a written representation?**

**A** A written statement by management provided to the auditor to confirm certain matters or to support other audit evidence. It does not include financial statements, the assertions therein, or supporting books and records.

**37** **SA 580: are written representations sufficient appropriate audit evidence?**

**A** No. They are necessary audit evidence, but they do not provide sufficient appropriate audit evidence on their own about any of the matters with which they deal.

**38** **SA 580: what are the objectives of the auditor?**

**A** (a) Obtain representations that management has fulfilled its responsibility for preparing the financial statements and for the completeness of information provided; (b) support other audit evidence where necessary or required by other SAs; (c) respond appropriately to representations provided or not provided.

**39** **SA 580: the two required representations about management's responsibilities?**

**A** (I) It has fulfilled its responsibility for the preparation of the financial statements per the framework, as set out in the terms of engagement; (II) it has provided all relevant information and access as agreed, and all transactions have been recorded and are reflected in the financial statements.

**40** **SA 580: when may the auditor accept "to the best of our knowledge and belief"?**

**A** When the auditor is satisfied that the representations are being made by those with appropriate responsibilities and knowledge of the matters included.

**41** **SA 580: when is it particularly appropriate to ask management to reconfirm its acknowledgement of responsibilities?**

**A** When the signatories of the engagement terms no longer have the responsibilities; the terms were prepared in a previous year; management seems to misunderstand them; or changes in circumstances make it appropriate.

**42** **SA 580: what four things may the auditor consider when evaluating management's judgments and intentions?**

**A** Past history in carrying out stated intentions; reasons for the course of action; ability to pursue it; other information inconsistent with the judgment or intent.

**43** **SA 580: what is the date of the written representations?**

**A** As near as practicable to, but not after, the date of the auditor's report on the financial statements.

**44** **SA 580: which periods must written representations cover?**

**A** All financial statements and period(s) referred to in the auditor's report, even if current management was not present during all of them.

**45** **SA 580: what is the form of written representations?**

**A** A representation letter addressed to the auditor (matters already in written public statements required by law need not be repeated).

**46** **SA 580: what must the auditor do if requested representations are not provided?**

**A** Discuss the matter with management; re-evaluate management's integrity and its effect on the reliability of representations and evidence in general; take appropriate actions, including the possible effect on the opinion under SA 705, having regard to the disclaimer requirement.

**47** **SA 580: when shall the auditor disclaim an opinion?**

**A** When there is sufficient doubt about management's integrity such that the representations about its responsibilities are not reliable, or when management does not provide those representations.

## 7.5 SA 260 and SA 265: communicating

## with those charged with governance

**48** **SA 260: who are "those charged with governance"?**

**A** The person(s) or organization(s) (e.g., a corporate trustee) with responsibility for overseeing the strategic direction of the entity and obligations related to its accountability, including overseeing the financial reporting process.

**49** **SA 260: in what three ways is effective two-way communication important?**

**A** It assists (a) both in understanding audit matters in context and building a constructive working relationship; (b) the auditor in obtaining relevant information; (c) those charged with governance in overseeing financial reporting, reducing risks of material misstatement.

**50** **SA 260: what are the auditor's four objectives?**

**A** Communicate the auditor's responsibilities and an overview of planned scope and timing; obtain relevant information; provide timely significant observations; promote effective two-way communication.

**51** **SA 260: what does the auditor communicate about its responsibilities?**

**A** That the auditor forms and expresses an opinion on financial statements prepared by management with the oversight of those charged with governance, and that the audit does not relieve management or those charged with governance of their responsibilities.

**52** **SA 260: the five significant findings?**

**A** Qualitative aspects of accounting practices; significant difficulties; (unless all manage the entity) matters discussed with management and written representations requested; circumstances affecting the report's form and content; other significant matters relevant to oversight.

**53** **SA 260: what independence matters are communicated for listed entities?**

**A** A statement of compliance with independence requirements; all relationships and other matters bearing on independence, including total audit and non-audit fees by category; the related safeguards.

**54** **SA 260: how are orally communicated matters documented?**

**A** In the audit documentation, with when and to whom they were communicated; for written communications, a copy is retained.

**55** **SA 265: what is a deficiency in internal control?**

**A** A control designed, implemented or operated so that it cannot prevent, or detect and correct, misstatements on a timely basis; or a necessary control that is missing.

**56** **SA 265: what is a significant deficiency in internal control?**

**A** A deficiency or combination of deficiencies that, in the auditor's professional judgment, is of sufficient importance to merit the attention of those charged with governance.

**57** **SA 265: can a significant deficiency exist when no misstatement was found?**

**A** Yes. Significance depends on the likelihood that a misstatement could occur and its potential magnitude, not only on whether one occurred.

**58** **SA 265: to whom and how are significant deficiencies communicated?**

**A** In writing, on a timely basis, to those charged with governance; and in writing to management at an appropriate level, unless inappropriate in the circumstances.

**59** **SA 265: what must the written communication of significant deficiencies contain?**

**A** A description and the potential effects; sufficient information for context; and explanations that the audit's purpose was an opinion on the financial statements, that internal control was considered to design procedures and not to opine on its effectiveness, and that matters reported are limited to those identified and judged important enough.

CHAPTER 8

# Audit Report

## 8.1 SA 700: forming an opinion and the auditor's report

**1** **SA 700: what are the objectives of the auditor?**

**A** To form an opinion on the financial statements based on an evaluation of the conclusions drawn from the audit evidence obtained; and to express clearly that opinion through a written report.

**2** **SA 700: the conclusion on reasonable assurance takes into account which three things?**

**A** (a) Whether sufficient appropriate audit evidence has been obtained; (b) whether uncorrected misstatements are material, individually or in aggregate; (c) the evaluations.

**3** **SA 700: two indicators of a lack of neutrality?**

**A** (i) Selective correction of misstatements brought to management's attention (e.g. correcting those that increase earnings but not those that decrease them); (ii) possible management bias in making accounting estimates.

**4** **SA 700: the six specific evaluations?**

**A** Whether (a) significant accounting policies are adequately disclosed; (b) policies are consistent with the framework and appropriate; (c) estimates are reasonable; (d) information is relevant, reliable, comparable and understandable; (e) disclosures are adequate; (f) terminology, including statement titles, is appropriate.

**5** **SA 700: the extra evaluation under a fair presentation framework?**

**A** Whether fair presentation is achieved, considering (a) the overall presentation, structure and content, and (b) whether the statements, including notes, represent the underlying transactions and events in a manner that achieves fair presentation.

**6** **SA 700: fair presentation framework versus compliance framework?**

**A** Both require compliance with the framework; a fair presentation framework also acknowledges that extra disclosures, or in extremely rare cases departures, may be necessary to achieve fair presentation. A compliance framework has no such acknowledgements.

**7** **SA 700: the fourteen elements of the auditor's report, in order?**

**A** Title; addressee; opinion; basis for opinion; going concern; key audit matters; other information; responsibilities for the financial statements; auditor's responsibilities; location of that description; other reporting responsibilities; signature; place; date.

**8** **SA 700: besides the opinion, what must the Opinion section do?**

**A** Identify the entity; state that the financial statements have been audited; identify the title of each statement; refer to the notes, including the summary of significant accounting policies; specify the date of, or period covered by, each statement.

**9** **SA 700: what does the Basis for Opinion section state?**

**A** That the audit was conducted per SAs; a reference to the auditor's responsibilities section; the independence and ethics statement; whether the evidence is sufficient and appropriate to provide a basis for the opinion.

**10** **SA 700: which phrases may not be used with an unmodified opinion, and why?**

**A** "With the foregoing explanation" or "subject to": they suggest a conditional opinion or a weakening or modification of the opinion.

**11** **SA 700: the report is dated no earlier than when?**

**A** The date on which sufficient appropriate audit evidence has been obtained, including evidence that all the statements, including notes, have been prepared and that those with the recognised authority have asserted responsibility for them.

**12** **SA 700: where may the description of the auditor's responsibilities be located?**

**A** Within the body of the report; in an appendix referred to in the report; or by a specific reference to a website of an appropriate authority where law, regulation or national auditing standards expressly permit.

## 8.2 SA 701: key audit matters

**13 SA 701: define key audit matters.**

**A** Those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements of the current period; they are selected from matters communicated with those charged with governance.

**14 SA 701: what is the purpose of communicating key audit matters?**

**A** To enhance the communicative value of the auditor's report by providing greater transparency about the audit performed; it helps users understand the matters of most significance and may help them understand the entity and areas of significant management judgment.

**15 SA 701: what are the objectives of the auditor?**

**A** To determine key audit matters and, having formed an opinion on the financial statements, communicate those matters by describing them in the auditor's report.

**16 SA 701: to which audits does it apply?**

**A** Complete sets of general purpose financial statements of listed entities, and wherever law or regulation requires, or the auditor decides, to communicate key audit matters.

**17** **SA 701: what three things does the auditor take into account in finding matters that required significant auditor attention?**

**A** (a) Areas of higher assessed risk of material misstatement or significant risks under SA 315; (b) significant auditor judgments on areas involving significant management judgment, including estimates with high estimation uncertainty; (c) the effect on the audit of significant events or transactions of the period.

**18** **SA 701: after finding the matters that required significant attention, how are key audit matters chosen?**

**A** The auditor determines which of them were of most significance in the audit of the financial statements of the current period.

**19** **SA 701: what must the introductory language of the Key Audit Matters section state?**

**A** (a) Key audit matters were, in the auditor's professional judgment, of most significance in the audit of the current period; (b) they were addressed in the context of the audit as a whole and in forming the opinion, and no separate opinion is provided on them.

**20** **SA 701: communicating key audit matters is not a substitute for which three things, and not what else?**

**A** Not a substitute for required disclosures, for a modified opinion under SA 705, or for SA 570 reporting on a material uncertainty; and not a separate opinion on individual matters.

**21** **SA 701: what does the auditor communicate to those charged with governance?**

**A** The matters determined to be key audit matters or, if applicable, the determination that there are none to communicate.

**22** **SA 705 and SA 701: may a report with a disclaimer of opinion include Key Audit Matters?**

**A** No, unless required by law or regulation.

**23** **SA 706 and SA 701: may a matter determined to be a key audit matter also get an Emphasis of Matter paragraph?**

**A** No: an Emphasis of Matter (or Other Matter) paragraph is included only if, when SA 701 applies, the matter has not been determined to be a key audit matter.

## 8.3 SA 705: qualified, adverse

## and disclaimer of opinion

**24** **SA 705: in which two circumstances shall the auditor modify the opinion?**

**A** (a) The financial statements as a whole are not free from material misstatement, based on the evidence obtained; or (b) the auditor cannot obtain sufficient appropriate audit evidence to conclude that they are free from material misstatement.

**25** **SA 705: what is the objective of the auditor?**

**A** To express clearly an appropriately modified opinion on the financial statements when either circumstance exists.

**26** **SA 705: when is a qualified opinion expressed?**

**A** (a) With sufficient appropriate evidence, misstatements are material but not pervasive; or (b) evidence cannot be obtained, but the possible effects of undetected misstatements could be material but not pervasive.

**27** **SA 705: when is an adverse opinion expressed?**

**A** When the auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are both material and pervasive.

**28** **SA 705: when is a disclaimer of opinion given?**

**A** When sufficient appropriate evidence cannot be obtained and the possible effects of undetected misstatements could be both material and pervasive; also, in extremely rare cases of multiple uncertainties whose possible cumulative effect makes an opinion impossible.

**29** **SA 705: what makes effects pervasive?**

**A** In the auditor's judgment they are not confined to specific elements, accounts or items; or, if confined, represent or could represent a substantial proportion of the financial statements; or, for disclosures, are fundamental to users' understanding.

**30** **SA 705: which two factors decide the type of modified opinion?**

**A** The nature of the matter (misstated, or possibly misstated because evidence is missing) and the pervasiveness of its effects or possible effects.

**31** **SA 705: management limits the scope after acceptance. What comes first, and what last?**

**A** First, request removal of the limitation. Last, if evidence still cannot be obtained and the possible effects are material and pervasive: withdraw where practicable and possible under law, otherwise disclaim.

**32** **SA 705: which two SA 700 elements are left out of a report with a disclaimer?**

**A** The reference to the section describing the auditor's responsibilities, and the statement on whether the evidence obtained is sufficient and appropriate to provide a basis for the opinion.

**33** **SA 705: the wording of a qualified opinion?**

**A** "Except for the effects of the matter(s) described in the Basis for Qualified Opinion section", or "except for the possible effects" when evidence could not be obtained.

**34** **SA 705: may a report with a disclaimer include Key Audit Matters?**

**A** No, unless required by law or regulation.

## 8.4 SA 706: emphasis of matter

## and other matter paragraphs

**35** **SA 706: what is an Emphasis of Matter paragraph?**

**A** A paragraph in the auditor's report that refers to a matter appropriately presented or disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to users' understanding of the financial statements.

**36** **SA 706: what is an Other Matter paragraph?**

**A** A paragraph in the auditor's report that refers to a matter other than those presented or disclosed in the financial statements that, in the auditor's judgment, is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.

**37** **SA 706: what is the objective of the auditor?**

**A** Having formed an opinion, to draw users' attention, when necessary, by clear additional communication in the report, to (a) a matter appropriately presented or disclosed that is fundamental to users' understanding, or (b) any other matter relevant to users' understanding of the audit, the auditor's responsibilities or the report.

**38** **SA 706: an Emphasis of Matter paragraph is included provided what two conditions are met?**

**A** (a) The auditor would not be required to modify the opinion under SA 705 as a result of the matter; and (b) when SA 701 applies, the matter has not been determined to be a key audit matter.

**39** **SA 706: what three things shall the auditor do when including an Emphasis of Matter paragraph?**

**A** (a) Put it in a separate section with a heading that includes "Emphasis of Matter"; (b) refer clearly to the matter and to where the disclosures are in the financial statements, referring only to information in them; (c) state that the opinion is not modified in respect of the matter.

**40** **SA 706: four examples of circumstances for an Emphasis of Matter paragraph?**

**A** Uncertainty about the outcome of exceptional litigation or regulatory action; a significant subsequent event between the date of the financial statements and the report date; early application of a new accounting standard with a material effect; a major catastrophe with a significant effect on the financial position.

**41** **SA 706: an Emphasis of Matter is not a substitute for what three things?**

**A** A modified opinion required under SA 705; disclosures the framework requires or that are necessary for fair presentation; reporting under SA 570 when a material uncertainty on going concern exists.

**42** **SA 706: an Other Matter paragraph is included provided what?**

**A** (a) It is not prohibited by law or regulation; and (b) when SA 701 applies, the matter has not been determined to be a key audit matter.

**43** **SA 706: what heading does an Other Matter paragraph carry?**

**A** "Other Matter", or other appropriate heading, in a separate section of the report.

**44** **SA 706: what must be communicated to those charged with governance?**

**A** If the auditor expects to include an Emphasis of Matter or Other Matter paragraph, the expectation and the wording of the paragraph.

**45** **SA 706: draft the Emphasis of Matter paragraph for a fire described in Note Y.**

**A** "Emphasis of Matter – Effects of Fire in the Company's Factory. We draw attention to Note Y of the financial statements, which describes the effects of a fire in the Company's factory. Our opinion is not modified in respect of this matter."

## 8.5 SA 710: comparative information

**46** **SA 710: define comparative information.**

**A** The amounts and disclosures included in the financial statements in respect of one or more prior periods in accordance with the applicable financial reporting framework.

**47** **SA 710: what are the two broad approaches, and the essential reporting difference?**

**A** Corresponding figures (the opinion refers to the current period only) and comparative financial statements (the opinion refers to each period presented).

**48** **SA 710: what are the objectives of the auditor?**

**A** (a) To obtain sufficient appropriate audit evidence about whether the comparative information is presented, in all material respects, in accordance with the framework's requirements for comparative information; (b) to report in accordance with the auditor's reporting responsibilities.

**49** **SA 710: what two things does the auditor evaluate about comparative information?**

**A** (a) Whether it agrees with the amounts and other disclosures presented in the prior period; (b) whether its accounting policies are consistent with the current period's, or changes have been properly accounted for and adequately presented and disclosed.

**50** **SA 710: which written representations are required?**

**A** Representations for all periods referred to in the auditor's opinion, and a specific representation on any prior period item separately disclosed in the current year's statement of profit and loss.

**51** **SA 710, corresponding figures: prior report modified and matter unresolved. What does the auditor do?**

**A** Modify the current period's opinion; in the Basis paragraph, refer to both the current and corresponding figures if the effects on the current period's figures are material, otherwise explain the modification is due to effects on comparability.

**52** **SA 710, corresponding figures: material misstatement found in prior period statements that received an unmodified opinion?**

**A** Verify whether it has been dealt with as the framework requires; if not, express a qualified or adverse opinion on the current period's statements, modified with respect to the corresponding figures.

**53** **SA 710: prior period financial statements not audited?**

**A** State in an Other Matter paragraph that the corresponding figures (or comparative statements) are unaudited; this does not relieve the auditor of obtaining sufficient appropriate evidence on opening balances.

**54** **SA 710: what does the Other Matter paragraph state about a predecessor auditor?**

**A** (a) That the prior period was audited by a predecessor auditor; (b) the type of opinion expressed and, if modified, the reasons; (c) the date of that report.

**55** **SA 710, comparative financial statements: the auditor's new opinion on the prior period differs from the earlier one?**

**A** Disclose the substantive reasons for the different opinion in an Other Matter paragraph in accordance with SA 706.

**56** **SA 710, comparative financial statements: when does the auditor report only on the current period?**

**A** When a material misstatement in prior period statements reported on without modification by the predecessor is communicated, the statements are amended, and the predecessor agrees to issue a new report on the amended prior period statements.

## 8.6 Company auditor's reporting

## under the Companies Act, 2013

**57** **Section 143(1): which six matters must the auditor inquire into?**

**A** (a) Loans and advances on security properly secured and terms not prejudicial; (b) book-entry transactions prejudicial; (c) securities sold below purchase price (not investment or banking company); (d) loans and advances shown as deposits; (e) personal expenses charged to revenue; (f) shares allotted for cash where cash not received.

**58** **Section 143(1): must the auditor report that he is satisfied?**

**A** No. He reports only if he has special comments, that is, when an answer is adverse; if satisfied, he has no further duty to report so.

**59** **Section 143(3)(a) to (e): what does the report state?**

**A** (a) all information and explanations sought and obtained; (b) proper books kept and branch returns received; (c) branch auditor's report received and how dealt with; (d) statements agree with books and returns; (e) compliance with accounting standards.

**60** **Section 143(3)(f) to (j): what does the report state?**

**A** (f) observations on matters adversely affecting the functioning of the company; (g) any director disqualified under section 164(2); (h) qualification, reservation or adverse remark on maintenance of accounts; (i) adequacy and operating effectiveness of IFC; (j) Rule 11 matters.

**61** **Rule 11: which six other matters does the auditor's report state?**

**A** Impact of pending litigations disclosed; provision for material foreseeable losses on long term contracts including derivatives; delay in transfers to IEPF; representations on Intermediaries, Funding Parties and Ultimate Beneficiaries; dividend in compliance with section 123; audit trail (edit log) used, operated, not tampered with and preserved.

**62** **Section 143(4): what does it require?**

**A** Where any matter required in the report is answered in the negative or with a qualification, the report shall state the reasons.

**63** **Section 143(12): when does the auditor report a fraud to the Central Government?**

**A** When he has reason to believe that a fraud involving or expected to involve individually ₹1 crore or above is being or has been committed in the company by its officers or employees.

**64** **Section 143(12): where does a fraud of less than ₹1 crore go?**

**A** To the audit committee constituted under section 177, or to the Board in other cases.

**65** **Section 143(11): what does it empower?**

**A** The Central Government, in consultation with NFRA, may order that the auditor's report of specified classes of companies include a statement on specified matters: CARO 2020.

**66** **Section 143(3)(i): which companies are exempt from reporting on internal financial controls?**

**A** A private company that is a One Person Company, or a small company, or has turnover below ₹50 crore (latest audited statements) and aggregate borrowings from banks, FIs or any body corporate at any point of time during the year below ₹25 crore.

## 8.7 CARO 2020

**67 CARO 2020: which classes of companies are exempt?**

**A** Banking companies; insurance companies; section 8 companies; One Person Companies and small companies; and private limited companies (not holding or subsidiary of a public company) within all three limits: capital plus reserves ≤ ₹1 crore, bank or FI borrowings ≤ ₹1 crore at any time, total revenue ≤ ₹10 crore.

**68 CARO 2020 clause (iii): what do sub-clauses (a) to (f) require on loans, investments, guarantees and security?**

**A** (a) aggregate during the year and balance at the balance sheet date, separately for subsidiaries, JVs and associates and for others; (b) terms not prejudicial to the company's interest; (c) repayment schedule stipulated and repayments regular; (d) amount overdue for more than ninety days and reasonable steps for recovery; (e) loans fallen due renewed, extended or settled by fresh loans: aggregate and % of loans granted during the year; (f) loans repayable on demand or without terms: aggregate, %, and amount to promoters and related parties. (a) and (e) do not apply to companies whose principal business is to give loans.

**69** **CARO 2020: does it apply to the report on consolidated financial statements?**

**A** No, except clause (xxi): qualifications or adverse remarks in the CARO reports of companies included in the consolidated financial statements.

**70** **CARO 2020 clause (ii)(a): what is reported on inventory?**

**A** Whether physical verification was conducted at reasonable intervals by management; whether coverage and procedure are appropriate; whether discrepancies of 10% or more in the aggregate for each class were noticed and properly dealt with in the books.

**71** **CARO 2020 clause (ii)(b): when are quarterly returns to banks compared with the books?**

**A** When working capital limits above ₹5 crore in aggregate have been sanctioned at any point of time from banks or financial institutions on the security of current assets; if not in agreement, details are given.

**72** **CARO 2020 clause (vii): what is reported on statutory dues?**

**A** (a) Regularity in depositing undisputed dues, and arrears outstanding at the year end for more than six months from the date payable; (b) disputed dues: amount and forum where pending. A mere representation is not a dispute.

**73** **CARO 2020 clause (ix): name its six sub-clauses.**

**A** (a) default in repayment, in the format; (b) wilful defaulter; (c) term loans used for their purpose; (d) short-term funds used for long-term purposes; (e) funds taken to meet obligations of subsidiaries, associates or JVs; (f) loans raised on pledge of securities of subsidiaries, JVs or associates.

**74** **CARO 2020 clause (x): what is reported on funds raised?**

**A** (a) Public offer money (including debt instruments) applied for its purposes; (b) preferential allotment or private placement: sections 42 and 62 complied with and funds used for their purposes.

**75** **CARO 2020 clause (xi): what is reported on fraud?**

**A** (a) Fraud by or on the company noticed or reported during the year: nature and amount; (b) any section 143(12) report filed in Form ADT-4; (c) whistle-blower complaints considered.

**76** **CARO 2020 clause (xii): what is reported for a Nidhi company?**

**A** (a) Net Owned Funds to Deposits ratio of 1:20; (b) ten per cent unencumbered term deposits as per the Nidhi Rules, 2014; (c) default in interest on or repayment of deposits.

**77** **CARO 2020 clauses (xvii) and (xviii)?**

**A** (xvii) cash losses in the financial year and the immediately preceding year, with amounts; (xviii) resignation of statutory auditors during the year, and whether the outgoing auditors' issues, objections or concerns were considered.

**78** **CARO 2020 paragraph 4: what does it require?**

**A** The basis for every unfavourable or qualified answer; and where no opinion can be expressed on a matter, that fact with the reasons.

## 8.8 Branch audit and joint audit

**79** **Section 143(8): who may audit the accounts of a branch office in India?**

**A** The company's auditor, or any other person qualified for appointment as an auditor of the company under the Act and appointed as such under section 139.

**80** **Section 143(8): who may audit the accounts of a branch office outside India?**

**A** The company's auditor, or an accountant, or any other person duly qualified to act as an auditor of the branch accounts in accordance with the laws of that country.

**81** **Branch audit: to whom does the branch auditor send the report, and what does the recipient do with it?**

**A** To the company's auditor, who deals with it in his report in such manner as he considers necessary (section 143(8); rule 12 of the Companies (Audit and Auditors) Rules, 2014).

**82** **Rule 12: how far does fraud reporting extend to a branch auditor?**

**A** Reporting of fraud by the auditor extends to the branch auditor to the extent it relates to the concerned branch.

**83** **Section 128(2): when is a company with a branch deemed to comply with section 128(1)?**

**A** If proper books of account relating to the branch's transactions are kept at the branch and proper summarised returns are sent periodically to the registered office or the other place where books are kept.

**84** **SA 600: define principal auditor.**

**A** The auditor with responsibility for reporting on the financial information of an entity when that financial information includes the financial information of one or more components audited by another auditor.

**85** **SA 600: which two procedures should the principal auditor ordinarily perform?**

**A** (a) Advise the other auditor of the use to be made of its work and report and arrange co-ordination at the planning stage (special areas, inter-component transactions, time-table); (b) advise the significant accounting, auditing and reporting requirements and obtain representation as to compliance.

**86** **Joint audit: name any five advantages.**

**A** Sharing of expertise; mutual consultation; lower workload; better quality of performance; improved service to the client (also: local expertise for multinationals, lower staff development costs, lower costs, healthy competition).

**87** **SA 299: what five things do joint auditors consider in developing the joint audit plan?**

**A** (a) Division of audit areas and common areas; (b) reporting objectives; (c) factors significant in directing the team's efforts; (d) results of preliminary engagement activities or similar earlier engagements; (e) nature, timing and extent of resources needed.

**88** **SA 299: for what are all joint auditors jointly and severally responsible?**

**A** Undivided work done by all; planning decisions on common areas; matters brought to notice by one and agreed; compliance of the statements with statutes; presentation and disclosure under the framework; compliance of the audit report with statutes, SAs and ICAI pronouncements.

**89** **SA 299: joint auditors disagree on the opinion. What happens to the report?**

**A** Each expresses its opinion in a separate audit report, and the reports make a reference to each other's reports.

**90** **Joint audit: where is its legal foothold in the Companies Act, 2013?**

**A** Section 139(3): the members of a company may resolve that the audit shall be conducted by more than one auditor.

CHAPTER 9

# Special Features of Audit of Different Types of Entities

## 9.1 Government audit and the C&AG

**1** **What does the Consolidated Fund of India consist of (Article 266)?**

**A** All revenue received from direct and indirect taxes, all loans taken by the Government of India and all repayments of loans received by it.

**2** **How is the independence of the C&AG guaranteed by the Constitution?**

**A** Appointed by the President; removable only on proven misbehaviour or incapacity, like a Supreme Court Judge, by each House with a majority of not less than two-thirds of members present and voting; salary and conditions fixed by Parliament and not variable to his disadvantage after appointment.

**3** **Articles 149, 150 and 151 in one line each?**

**A** 149: the C&AG's duties and powers as prescribed by law of Parliament. 150: form of Union and State accounts prescribed by the President on the C&AG's advice. 151: C&AG reports go to the President or Governor, who has them laid before the legislature.

**4** **When is a body "substantially financed" for the C&AG's audit?**

**A** When the grant or loan from a Consolidated Fund in a financial year is not less than ₹25 lakh and not less than 75% of the body's total expenditure.

**5** **Name the five basic standards of government expenditure audit, in order.**

**A** Audit against rules and orders; audit of sanctions; audit against provision of funds; propriety audit; performance audit.

**6** **Propriety audit: what does it bring out?**

**A** Cases of improper, avoidable or ineffective expenditure even though the expenditure has been incurred in conformity with the existing rules and regulations.

**7** **State the principles of financial propriety (a) and (b).**

**A** (a) Expenditure should not be prima facie more than the occasion demands (the vigilance of a person of ordinary prudence over his own money). (b) No authority should sanction expenditure that is directly or indirectly to its own advantage.

**8** **Performance audit: which three audits does it cover, and what are its procedure steps?**

**A** Efficiency, economy and effectiveness audit. Steps: identification of topic, preliminary study, planning, execution of audit, reporting.

**9** **Audit against rules and orders: four things audit checks in the executive's rules, regulations and orders?**

**A** Not inconsistent with the Constitution or laws; consistent with the essential requirements of audit and accounts as determined by the C&AG; not in conflict with orders or rules of a higher authority; if not separately approved, the issuing authority has the rule-making power.

**10** **Section 143(6): what may the C&AG do, and within what time?**

**A** Within 60 days from the date of receipt of the audit report: conduct a supplementary audit, and comment upon or supplement the audit report.

**11** **Must the board of a government company explain the C&AG's comments?**

**A** No. Section 134(3) requires explanations only on the auditor's (and secretarial auditor's) reservations, adverse remarks and disclaimers; there is no similar provision for the C&AG's comments.

**12** **How does India's C&AG report its findings?**

**A** Factually, leaving conclusions to the reader; recommendations have traditionally been left to the Public Accounts Committee.

## 9.2 Audit of local bodies

**13** **Define a municipality (ICAI).**

**A** A unit of local self-government in an urban area: administration of a locality by a body representing the local inhabitants, with fairly large autonomy, raising at least part of its revenue through local taxation and spending it on local services distinct from state and central services.

**14** **Name the five types of urban local authorities.**

**A** Municipal corporations, municipal councils, notified area committees, town area committees and cantonment committees.

**15** **Under which heads is municipal expenditure broadly classified?**

**A** General administration and revenue collection; public health; public safety; education; public works; others such as interest payments.

**16** **What are the three categories of revenue grants local bodies receive from the State?**

**A** General purpose grants (bridge the gap between needs and resources); specific purpose grants (tied to certain services or tasks); statutory and compensatory grants (compensation for revenue lost when the State takes over a tax).

**17** **What are the major sources of municipal revenue?**

**A** Property taxes and octroi; other taxes include profession tax, taxes on advertisements, tolls and show-tax.

**18** **Who exercises external control over municipal expenditure?**

**A** The State governments, by appointing auditors (generally the Local Fund Audit Wing); the corporations of Delhi, Mumbai and a few others appoint their own auditors.

**19** **Why is external audit the only instrument of controlling municipal expenditure?**

**A** The council integrates legislative and executive powers, so its executive cannot be its own inquisitorial body, and there is no independent finance officer responsible to the council.

**20** **State the five objectives of the audit of local bodies.**

**A** Reporting on fairness of the financial statements; on strengths and weaknesses of financial control; on adherence to legal and administrative requirements; on whether value is fully received on money spent; and detection and prevention of error, fraud and misuse of resources.

**21** **What can follow an action of a local authority beyond its legal authority?**

**A** Surcharge by audit (the privilege of ultra vires), a legacy of colonial days.

**22** **List the steps of the audit programme for local bodies.**

**A** Appointment; auditor's concerns; rules and regulations; authorisations; provisioning; performance.

**23** **What are "the three Es" of value for money audit?**

**A** Efficiency, economy and effectiveness.

## 9.3 Not-for-profit organisations, trusts and societies

**24** **Define an NGO (ICAI).**

**A** A non-profit making organisation which raises funds from members, donors or contributors, apart from receiving donation of time, energy and skills, for achieving social objectives like education, medical facilities, economic assistance to the poor, and managing disasters.

**25** **What are the three basic legal forms of charitable entities in India, and the law for each?**

**A** Trust (the State's Public Trust Act, or the Indian Trusts Act, 1882 where none exists); society (Societies Registration Act, 1860); section 8 company (Companies Act, 2013). The Income Tax Act applies to all, and the FCRA, 2010 to foreign contributions.

**26** **When does registration of an NGO trust become mandatory?**

**A** When the trust relates to immovable property worth more than one hundred rupees (section 17(1) of the Registration Act, 1908 read with section 123 of the Transfer of Property Act, 1882); in Maharashtra and Gujarat all charitable trusts register under the Public Trusts Acts.

**27** **Which NGOs must keep accounts on the accrual basis?**

**A** Those registered under the Companies Act, 2013 (section 128). Others may use the accrual or the cash basis.

**28** **What is a corpus contribution?**

**A** A contribution towards the capital or corpus of an NGO; donors generally specify that it shall form part of the corpus. It is a capital receipt shown as a liability.

**29** **What is a revolving fund, and where does its interest go?**

**A** A fund rotated by giving temporary loans to other NGOs or beneficiaries and recovering them to lend again. Interest is added back to the fund or credited to the Income and Expenditure Account, depending on the contributor's restrictions or the NGO's rules.

**30** **How does the auditor verify the corpus fund of an NGO?**

**A** Vouch contributions with special reference to the donors' letters; check the interest income with the Investment Register and the investments physically in hand.

**31** **How should contributions and grants for NGO projects be checked?**

**A** Check agreements with donors and grant letters to ensure funds received are accounted for, and that all foreign contribution receipts are deposited in the foreign contribution bank account notified under the FCRA, 2010.

**32** **Charitable institution: name four checks over receipt books for subscriptions and donations.**

**A** Control over unused receipt books; obtain all receipt books for the period; test check counterfoils with the cash book, especially cancelled receipts; agree the printed list of subscriptions and donations with the collections in the accounts.

**33** **Charitable institution: what must be verified when vouching grants paid?**

**A** That they were paid only for charitable purposes within the institution's objects, and that no trustee, director or member of the Managing Committee benefited directly or indirectly.

**34** **Name six matters the auditor of a public trust has to ascertain about trustees and donations.**

**A** Minimum and maximum number of trustees maintained; trustee's interest in the trust's investments; trustee as debtor or creditor; donations applied per objects and donor's direction; anonymous donations accounted for; cash donations within the prescribed limit.

**35** **Society audit: which inquiry must the auditor ascertain, and why?**

**A** Any inquiry by the Registrar under the applicable law into the society's working or financial condition, because of its implications for the auditor's opinion.

## 9.4 Educational institutions, hotels, clubs and hospitals

**36** **Audit of an educational institution: what does the auditor check the Students Fee Register with?**

**A** The respective Class Registers showing the names of students on rolls, testing the amount of fees charged and the internal check that demands against students are properly raised.

**37** **Audit of an educational institution: where should admission fees be credited?**

**A** To a Capital fund, unless the Managing Committee has taken a decision to the contrary (checked with admission slips signed by the head of the institution).

**38** **Audit of an educational institution: how should caution money be shown?**

**A** As a liability in the balance sheet, not transferred to revenue, unless it is not refundable.

**39** **Audit of an educational institution: what must be seen about endowment funds for prizes?**

**A** The investments are kept separate, and any income in excess of the prizes is accumulated and invested along with the corpus.

**40** **Audit of an educational institution: which constitution does the auditor read for a university?**

**A** The Act of Legislature and the Regulations framed under it (for a school or college, the Trust Deed or Regulations).

**41** **Audit of a hospital: what is checked with the Register of Patients?**

**A** Copies of bills issued; bills for a selected period with the patients' attendance record; and that bills were issued to all patients from whom an amount was recoverable under the hospital's rules.

**42** **Audit of a hospital: who must sanction capital expenditure, and when?**

**A** The Trustees or the Managing Committee, in advance (prior sanction).

**43** **Audit of a hospital: what is done with budgets?**

**A** Compare the totals of income and expenditure with the budgeted amounts and report significant variations to the Trustees or the Managing Committee.

**44** **Audit of a club: what must be done if the secretary exceeded his financial powers?**

**A** Report the specific case for confirmation by the Managing Committee.

**45** **Audit of a club: how are margins earned tested?**

**A** Vouch purchases of foodstuffs, cigars, wines, etc. and test their sale price to confirm that the normal rates of gross profit were earned; verify the year-end inventory of unsold provisions physically and check its valuation.

**46** **Audit of a hotel: what must the auditor do if a material margin discrepancy remains unexplained?**

**A** Having increased the scope of the audit tests, consider qualifying the audit report.

**47** **Audit of a hotel: what is occupancy-in-progress, and what must the auditor ensure?**

**A** Room revenue earned up to the balance sheet date but not yet billed; the auditor ensures it is properly valued and included in the accounts.

## 9.5 Sole traders, partnership firms, LLPs and co-operative societies

**48** **Is a sole trader legally required to get the accounts audited? Why do many do so?**

**A** No. Many do because of regulatory requirements (e.g. inventory brokers) or a bank's instructions for approval of loans.

**49** **Sole trader audit: what should the auditor do if the appointment is not in writing?**

**A** Write to the client explaining the scope of duties and stating the limitations placed on the work, to obtain the client's confirmation.

**50** **Partnership audit: state the seven matters specially considered.**

**A** Letter of appointment; partnership documents (minute book); objects of partnership; books of account; mutual interest; provision for taxes; division of profits.

**51** **Partnership audit: name the five advantages of audit.**

**A** Disputes, dissolution, reliable (banks, purchasers), admission of partners, control over working partners.

**52** **LLP: when is an LLP not required to get its accounts audited under Rule 24?**

**A** As the Study Material words it: when its turnover does not exceed ₹40 lakh in any financial year, or its contribution does not exceed ₹25 lakh. (ICAI's MTP January 2025 keyed audit as compulsory if either limit is exceeded.)

**53** **LLP: deadlines for Form 11 and Form 8?**

**A** Form 11 (annual return) within 60 days of the close of the financial year; Form 8 (Statement of Account and Solvency) within 30 days from the end of six months of the financial year.

**54** **LLP: when must the designated partners appoint the auditor?**

**A** For the first year, at any time before its end; for later years, at least 30 days before the end of the year; also to fill casual vacancies (including by removal). Partners may appoint if the designated partners fail.

**55** **Co-operative Societies Act, 1912, section 17: what must the audit include?**

**A** An examination of overdue debts, if any, and a valuation of the assets and liabilities of the society.

**56** **Co-operative society: limit on charitable contributions under section 34?**

**A** With the Registrar's sanction, not more than 10% of the net profits remaining after the compulsory transfer to the reserve fund.

**57** **Co-operative audit: how are overdue debts classified for reporting?**

**A** From 6 months to 5 years, and more than 5 years; then analysed as good or bad for recovery.

**58** **Multi-State co-operative society: who appoints the first auditor, and when?**

**A** The board, within one month of the date of registration (holding office until the conclusion of the first AGM); if the board fails, the society in general meeting.

**59** **Multi-State co-operative society: when can the Central Government order a special audit under section 77?**

**A** When it is of the opinion that the society is not managed per co-operative or sound business principles, is managed so as to seriously injure its trade or industry, or its financial position endangers solvency; and only if the Central and/or State Government hold 51% or more of the paid-up share capital.

## 9.6 Cinemas and hire purchase and leasing companies

**60** **Audit of a cinema: state the five internal controls over tickets.**

**A** Entrance only through printed tickets; tickets serially numbered and bound into books; different numbers for each show and class (same class for the same show each week running serially); a separate series for advance booking; ticket inventory in the custody of a responsible official.

**61** **Audit of a cinema: what is confirmed at the end of each show?**

**A** That a statement of tickets sold is prepared and the cash collected is agreed with it.

**62** **Audit of a cinema: how is tax verified?**

**A** Reconcile the tax collected with the total number of tickets issued for each class, and vouch and verify the monthly tax returns.

**63** **Audit of a cinema: what is the rule for advertisement, repairs and maintenance expenditure?**

**A** Vouch it; no part of such expenditure should be capitalised.

**64** **Audit of a cinema: what does the auditor do about advances to distributors for films that have already run?**

**A** Enquire why the advance has not been adjusted, see that it is good and recoverable, and ask management to provide for advances considered irrecoverable.

**65** **Hire purchase: what three features does the definition of a hire-purchase agreement include?**

**A** Possession delivered on condition of paying periodical instalments; property passes on payment of the last instalment; the hirer may terminate at any time before property passes.

**66** **Hire purchase: what must the agreement clearly specify?**

**A** The hire-purchase price, the cash price, the commencement date, the number, amount, due dates, payee and place of instalments, and the goods, described sufficiently to identify them.

**67** **Leasing company: name the eight audit procedures for leasing transactions.**

**A** Object clause; credit analysis of the lessee; lease agreement terms; lease proposal form; invoice retained safely; acceptance letter from the lessee; lessee's Board resolution authorising execution; copies of insurance policies.

**68** **Lease: which party bears insurance, maintenance and taxes in a finance lease?**

**A** The lessee generally bears them; under an operating lease the lessee pays only the lease payments.

**69** **Lease: tax benefit to the lessee under an operating lease and under a finance lease?**

**A** Operating lease: the lease payment is an expense and no depreciation is claimed. Finance lease: the lessee claims both interest and depreciation.

CHAPTER 10

# Audit of Banks

## 10.1 Bank accounting system and audit approach

**1** **Bank audit: list the five peculiarities of banking operations.**

**A** Huge volumes and complexity of transactions; wide geographical spread of the network; large range of products and services; extensive use of technology; strict vigilance by the banking regulator.

**2** **Bank audit: what must the auditor be satisfied about in a computerised (CBS) environment?**

**A** That all the norms and parameters of the latest applicable RBI guidelines are built into the system that generates information on classification, provisions and income recognition; system information is not assumed correct without evidence.

**3** **Bank audit: on what four bases is the audit plan drawn up?**

**A** The nature and level of operations; the nature of adverse features; the level of compliance based on previous reports; audit risks based on inadequacy in or breach of internal controls and the familiarisation exercise.

**4** **Bank audit: the six questions for a control activity?**

**A** Who performs it; what evidence shows it is performed; when and how often; where the evidence is kept (and for how long, and is it accessible); why it is performed; how it is performed (can it be bypassed, and how are exceptions resolved).

**5** **Bank audit: who forms the engagement team?**

**A** All personnel performing the engagement, including any experts contracted by the firm in connection with that engagement.

**6** **Bank audit: what matters does the engagement team discussion ordinarily include?**

**A** Errors likely to occur; errors identified in prior years; how fraud might be perpetrated; audit responses to engagement, pervasive and specific risks; the need for professional skepticism; alertness to conditions indicating a material misstatement.

**7** **Bank audit: which seven reports' adverse comments on advances should the auditor consider?**

**A** Previous year's audit reports; latest internal inspection reports; the RBI's latest inspection report; concurrent/internal audit reports; report on verification of security; other internal reports on particular accounts; the manager's charge-handing-over report.

**8** **Banking Regulation Act: which section and schedule govern the form of a bank's financial statements?**

**A** Section 29(1) and (2); the Third Schedule: Form A for the Balance Sheet, Form B for the Profit and Loss Account (also applicable to nationalised banks, SBI and RRBs).

**9** **Bank audit: what are the five requirements of an effective risk management system?**

**A** Oversight and involvement by those charged with governance; identification, measurement and monitoring of risks; control activities; monitoring activities; reliable information systems.

**10** **Bank audit: what three purposes does the audit planning memorandum serve?**

**A** It describes the expected scope and extent of procedures; highlights the significant issues and risks and the decisions on reliance on controls; and evidences that the audit was planned appropriately and responds to engagement, pervasive and specific risks.

## 10.2 Appointment, powers and report of a bank's auditor

**11** **Banking Regulation Act, section 30(1): who must audit a banking company's accounts?**

**A** A person duly qualified under any law for the time being in force to be an auditor of companies.

**12** **Bank audit: who appoints the auditor of a banking company, and with whose approval?**

**A** The shareholders at the annual general meeting, with the prior approval of the Reserve Bank of India.

**13** **Bank audit: who appoints the auditor of a nationalised bank?**

**A** The bank, acting through its Board of Directors, with the prior approval of the Reserve Bank of India.

**14** **Bank audit: who appoints the auditors of a Regional Rural Bank?**

**A** The bank concerned, with the approval of the Central Government.

**15** **Bank audit: who fixes the remuneration of the auditors of nationalised banks and SBI?**

**A** The Reserve Bank of India, in consultation with the Central Government. (Banking company: under section 142, by the general meeting.)

**16** **Bank audit: what four matters does a nationalised bank's auditor state in his report to the Central Government?**

**A** True and fair view, and whether explanations called for were given and satisfactory; whether transactions noticed were within the bank's powers; whether returns from offices and branches were adequate; any other matter for the Central Government's notice.

**17** **Bank audit: what must the report disclose about unaudited branches?**

**A** Their number, and the quantification of their advances, deposits, interest income and interest expense.

**18** **CARO 2020: does it apply to a banking company?**

**A** No, not to a banking company as defined in section 5(c) of the Banking Regulation Act, 1949; its auditor still states the matters covered by section 143 of the Companies Act, 2013.

**19** **LFAR: who specifies its matters, and by when do the SCAs submit it?**

**A** The Reserve Bank of India specifies the matters; the Statutory Central Auditors submit it to the bank latest by 30th June every year.

**20** **Bank audit: to whom does the auditor report a suspected fraud found in normal audit work?**

**A** To the RBI, in addition to the Chairman/Managing Director/Chief Executive of the bank (RBI circular on the Committee on Legal Aspects of Bank Frauds).

**21** **Bank audit: what is the "declaration of indebtedness"?**

**A** A declaration banks obtain before appointing statutory central or branch auditors; indebtedness means owing money to the bank in any case whatsoever.

## 10.3 Audit of advances, NPAs and drawing power

**22** **Prudential norms: when is a term loan an NPA?**

**A** When interest and/or an instalment of principal remains overdue for a period of more than 90 days.

**23** **Prudential norms: when is a cash credit account 'out of order'?**

**A** When the balance remains continuously in excess of the sanctioned limit/drawing power; or, within it, there are no credits continuously for 90 days as on the balance sheet date; or credits are not enough to cover the interest debited in the same period.

**24** **Prudential norms: when is an amount 'overdue'?**

**A** When it is not paid on the due date fixed by the bank.

**25** **Prudential norms: the provision for sub-standard, D1, D2, D3 and loss assets?**

**A** Sub-standard 15%; D1 25% of secured + 100% of unsecured; D2 40% + 100%; D3 100% + 100%; loss 100%.

**26** **Prudential norms: is NPA classification based on the security available?**

**A** No. It is based on the record of recovery; the security and the borrower's or guarantor's net worth are not taken into account. Classification is borrower-wise, not facility-wise.

**27** **Erosion of security: when does an NPA go straight to doubtful, and when to loss?**

**A** Doubtful when the realisable value is less than 50% of the value assessed by the bank or accepted by the RBI at the last inspection; loss when it is less than 10% of the outstanding (security ignored; write off or provide fully).

**28** **Prudential norms: how are Central and State Government guaranteed advances treated?**

**A** Central Government guarantee not invoked/repudiated: standard asset, but NPA for income recognition. State Government guarantee: NPA if overdue for more than 90 days, for both provisioning and income recognition.

**29** **Prudential norms: when is a crop loan an NPA?**

**A** Short duration crops: instalment or interest overdue for two crop seasons. Long duration crops (season longer than one year): overdue for one crop season.

**30** **Drawing power: what is it, and how does it differ from the sanctioned limit?**

**A** The limit up to which the borrower can withdraw from the sanctioned working capital limit, calculated on primary security less margin as on a date; the sanctioned limit is the bank's total exposure on the client.

**31** **Drawing power: how old may the stock statement be?**

**A** Not older than three months; the outstanding based on a DP from older statements is deemed irregular.

**32** **Bank audit: what is a "large advance"?**

**A** One whose year-end balance exceeds ₹10 crore or 10% of the aggregate year-end advances of the branch, whichever is less.

**33** **Bank audit: for which accounts should the bank carry out a stock audit?**

**A** All accounts with funded exposure of more than ₹5 crore; auditors may advise one in other cases where warranted.

## 10.4 Audit of revenue items in banks

**34** **Bank audit: what are the heads of income and expenditure in Form B?**

**A** Income: interest earned; other income. Expenditure: interest expended; operating expenses; provisions and contingencies.

**35** **Bank audit: when is income on an NPA recognised?**

**A** Only when it is actually realised; it is not recognised on accrual.

**36** **Reversal of income: what happens when an advance becomes an NPA as at the close of a year?**

**A** The entire interest accrued and credited to income in past periods is reversed or provided for if not realised; fees and commission cease to accrue and are reversed or provided for if uncollected. This applies to Government guaranteed accounts also.

**37** **Reversal of income: how is income wrongly recognised in the past corrected?**

**A** Reverse it if it was recognised in the current year; make a provision for an equivalent amount if it was recognised in previous years.

**38** **Bank audit: what is the memorandum account for interest on NPAs?**

**A** A record of interest accrued on NPAs kept for control after the interest is reversed and stopped; it is not taken into account in computing gross advances.

**39** **Bank audit: how are partial recoveries in NPAs treated?**

**A** Without an agreement on appropriation, the bank applies a uniform and consistent policy; realised interest can be taken to income, but not if the credit comes out of a fresh or additional facility to the borrower.

**40** **Bank audit: how is discount on bills purchased treated at the year-end?**

**A** Apportioned between the two years; the unexpired discount is recorded under Other Liabilities; interest paid on rediscounting is not netted off from the discount earned.

**41** **Bank audit: when does commission on bills for collection become due?**

**A** Only when the bill has been collected from the drawee; the customer is credited only after collection.

**42** **RBI norm: which income items must a bank accrue under AS 9?**

**A** Items exceeding 1% of total income (if reckoned gross) or 1% of net profit before taxes (if reckoned net of costs); smaller items may be recognised when received, without a qualification.

**43** **Bank audit: name two analytical procedures for interest on deposits.**

**A** Compute a weighted average rate from the quarter-end deposit analysis and compare it with the actual average rate as per the accounts; compare the average rate with previous years. Enquire into material differences.

**44** **Bank audit: what does the auditor do for provisions and contingencies?**

**A** Ensure compliance with RBI provisioning circulars; understand the computation for standard assets and NPAs, checking classification on a sample; agree the loan break-up with the ledger; check the tax computation; examine other provisions for adequacy.

CHAPTER 11

# Ethics and Terms of Audit Engagements

## 11.1 Professional ethics and the fundamental principles

**1** **What does "ethics" mean, according to the Study Material?**

**A** Moral principles which govern a person's behaviour or his conducting of an activity; a state of mind to act in accordance with moral principles.

**2** **Name the five fundamental principles of professional ethics, in order.**

**A** Integrity; objectivity; professional competence and due care; confidentiality; professional behaviour.

**3** **Integrity: with what kind of information shall a professional accountant not knowingly be associated?**

**A** Information that contains a materially false or misleading statement, contains statements or information provided negligently, or omits or obscures required information where the omission would be misleading.

**4** **What does the principle of objectivity require?**

**A** Not to compromise professional judgment because of bias, conflict of interest or undue influence of others; not to undertake an activity if a circumstance or relationship unduly influences that judgment.

**5** **Professional competence and due care: what does "diligence" include?**

**A** The responsibility to act carefully, thoroughly and on a timely basis in accordance with the requirements of an assignment.

**6** **Confidentiality: when may confidential information be disclosed (Study Material examples)?**

**A** When required by law; when permitted by law and authorised by the client or employer; or when there is a professional duty or right to disclose, not prohibited by law.

**7** **What does the principle of professional behaviour require?**

**A** Compliance with relevant laws and regulations and avoiding any conduct that the accountant knows or should know might discredit the profession.

**8** **Principles-based versus rules-based approach: the essence of each?**

**A** Principles-based: compliance with the spirit of ethics through professional judgment in every situation. Rules-based: strict adherence to established rules; can be narrow and rigid.

**9** **What may follow a deviation from the ethical responsibilities?**

**A** The disciplinary mechanism: fines, suspension of membership, removal from membership or other disciplinary actions.

**10** **Which principle do ICAI's answers apply to an outgoing auditor who ignores the incoming auditor's letter?**

**A** Professional behaviour.

## 11.2 Independence, threats and safeguards

**11** **Define independence, as the Study Material does.**

**A** Independence implies that the judgment of a person is not subordinate to the wishes or direction of another person who might have engaged him, or to his own self-interest.

**12** **What is independence in appearance?**

**A** The avoidance of facts and circumstances so significant that a reasonable and informed third party, knowing all relevant information including safeguards, would reasonably conclude that the integrity, objectivity or professional skepticism of the firm or an assurance team member had been compromised.

**13** **Name the five threats to independence.**

**A** Self-interest, self-review, advocacy, familiarity and intimidation.

**14** **Self-interest threat: the Study Material's six examples?**

**A** Direct or materially significant indirect financial interest; loan or guarantee to or from the client; undue dependence on the client's fees; close business relationship; potential employment with the client; contingent fees for the audit.

**15** **Self-review threat: the two instances in the Study Material?**

**A** The auditor having recently been a director or senior officer of the company; auditors performing services that are themselves subject matters of audit.

**16** **Familiarity threat: the four ways it can occur?**

**A** Close relative of the audit team in a senior position at the client; former partner of the audit firm as director or senior employee of the client; long association with client counterparts; significant gifts or hospitality from the client.

**17** **Intimidation threat: three causes in the Study Material?**

**A** Threat of replacement over disagreements on accounting principles; pressure to disproportionately reduce work in response to reduced fees; being threatened with litigation.

**18** **What are safeguards?**

**A** Actions, individually or in combination, that the professional accountant takes that effectively reduce threats to comply with the fundamental principles to an acceptable level.

**19** **When threats to independence exist, what should the auditor do?**

**A** Desist from the task, or eliminate the threat, or at least put in place safeguards reducing it to an acceptable level, recorded as evidence; if credible and adequate safeguards cannot be fully implemented, not accept the work.

**20** **Define professional skepticism.**

**A** An attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence.

**21** **Maintaining professional skepticism reduces which three risks?**

**A** Overlooking unusual circumstances; over generalising when drawing conclusions from audit observations; using inappropriate assumptions in determining the nature, timing and extent of procedures and evaluating their results.

**22** **Which Companies Act provisions mainly address familiarity threats?**

**A** The provisions on rotation of auditors.

## 11.3 SA 210: agreeing the

## terms of audit engagements

**23** **SA 210: what is the objective of the auditor?**

**A** To accept or continue an audit engagement only when the basis for it has been agreed, by establishing whether the preconditions for an audit are present and confirming a common understanding of the terms with management and, where appropriate, those charged with governance.

**24** **SA 210: what are the "preconditions for an audit"?**

**A** The use by management of an acceptable financial reporting framework in preparing the financial statements, and the agreement of management (and, where appropriate, those charged with governance) to the premise on which an audit is conducted.

**25** **SA 210: which three responsibilities must management acknowledge?**

**A** (i) Preparing the financial statements in accordance with the framework, including fair presentation; (ii) such internal control as necessary for financial statements free from material misstatement; (iii) providing access to all relevant information, additional information requested, and unrestricted access to persons within the entity.

**26** **SA 210: what if the preconditions are not present?**

**A** Discuss the matter with management; unless required by law or regulation, do not accept the proposed audit engagement.

**27** **SA 210: what if the proposed terms limit the scope so that a disclaimer would result?**

**A** Do not accept such a limited engagement as an audit engagement, unless required by law or regulation.

**28** **SA 210: what does the audit engagement letter include?**

**A** The objective and scope of the audit; the auditor's responsibilities; management's responsibilities; the applicable financial reporting framework; the expected form and content of reports, with a statement that a report may differ.

**29** **SA 210: who sends the engagement letter to whom?**

**A** The auditor sends it to the client.

**30** **SA 210: when may the auditor not record the terms in a written agreement?**

**A** When law or regulation prescribes them in sufficient detail; the auditor then records only that the law applies and that management acknowledges and understands its responsibilities.

**31** **SA 210: when may a request to change the terms be reasonable, and when not?**

**A** Reasonable: a change in circumstances affecting the entity's requirements, or a misunderstanding about the service requested. Not reasonable: a change relating to incorrect, incomplete or otherwise unsatisfactory information, e.g. to avoid a modified opinion.

**32** **SA 210: what if the auditor cannot agree to a change and may not continue the original audit?**

**A** Withdraw where possible under applicable law or regulation, and determine whether there is any obligation to report the circumstances to those charged with governance, owners or regulators.

**33** **SA 210: list the factors that may require revised terms or a reminder in a recurring audit.**

**A** Misunderstanding of objective and scope; revised or special terms; recent change of senior management; significant change in ownership; significant change in nature or size of business; change in legal or regulatory requirements; change in the financial reporting framework; change in other reporting requirements.

## 11.4 SQC 1 and SA 220: quality control

**34** **SQC 1 versus SA 220: scope and level of each?**

**A** SQC 1 applies to all engagements (audits, reviews, other assurance and related services) and to the entire firm; SA 220 applies only to audits, at the level of a particular engagement.

**35** **SQC 1: what should the firm's system of quality control provide?**

**A** Reasonable assurance that the firm and its personnel comply with professional standards and regulatory and legal requirements, and that reports issued by the firm or engagement partners are appropriate in the circumstances.

**36** **List the six elements of a system of quality control under SQC 1.**

**A** Leadership responsibilities for quality within the firm; ethical requirements; acceptance and continuance of client relationships and specific engagements; human resources; engagement performance; monitoring.

**37** **SQC 1: who assumes ultimate responsibility for the firm's system of quality control?**

**A** The firm's chief executive officer or managing partners.

**38** **SQC 1: how often must the firm obtain written confirmation of compliance with independence policies, and from whom?**

**A** At least annually, from all firm personnel required to be independent under the Code of Ethics.

**39** **SQC 1: for which engagements is engagement quality control review mandatory?**

**A** All audits of financial statements of listed entities; for other engagements the firm devises criteria.

**40** **SQC 1: time limit for assembling the final file of an audit engagement?**

**A** Not more than 60 days after the date of the auditor's report.

**41** **SQC 1: retention period for audit documentation?**

**A** Ordinarily no shorter than seven years from the date of the auditor's report or, if later, the date of the group auditor's report.

**42** **SA 220: objective of the auditor?**

**A** To implement quality control procedures at the engagement level giving reasonable assurance that the audit complies with professional standards and regulatory and legal requirements, and that the auditor's report issued is appropriate in the circumstances.

**43** **SA 220: three duties of the engagement partner where an EQCR is required?**

**A** Determine that a reviewer has been appointed; discuss significant matters, including those identified in the review, with the reviewer; not date the auditor's report until the review is complete.

**44** **SA 220: the four matters the engagement partner documents?**

**A** Ethical compliance issues and their resolution; conclusions on independence with supporting discussions; conclusions on acceptance and continuance; the nature, scope and conclusions of consultations.

**45** **SA 220: what do the engagement partner's leadership actions and messages emphasise?**

**A** The importance to quality of complying with professional standards and legal requirements, complying with the firm's quality control policies, issuing appropriate reports, and the team's ability to raise concerns without fear of reprisals; and that quality is essential in audits.